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## LAW OF TRADERS AND BUSINESS ORGANIZATIONS

### PART I: TRADE REGULATION IN ETHIOPIA

#### CHAPTER ONE

##### INTRODUCTION TO REGULATION OF BUSINESS

The term **regulation** refers to the law that is imposed on individuals or entities so that such individuals/entities have certain expected patterns of behavior.

Types of Regulation Based on its purpose regulation may be classified into:

- **Political regulation;** are those election laws, political party laws, media laws and demonstration & public gathering laws
- **Social regulation;** such as laws related to culture, tourism and sport, drug and alcohol laws, public holiday celebration laws, tourist guide laws, hotel standard laws, and sporting laws
- **Economic regulation;** are all those laws that deal with production, distribution and consumptions of goods/services, protection of the environment, exploitation of natural resources and so on.

Economic regulation may be further divided into **Macroeconomic** and **Microeconomic Regulation**. **Macroeconomic regulations** are laws related to money supply, inflation, unemployment rate, growth rate. It refers to laws related to the role of the state in planning the economy of a state.

**Micro economic regulations** are the laws that intend to make sure that those individual economic decision makers behave in accordance of the macroeconomic plan. Micro economic regulation may therefore be called business regulation.

#### 1.1. Business Regulation

Business regulation refers to laws, state uses as an instrument to determine how a person

- |                                       |                                              |
|---------------------------------------|----------------------------------------------|
| ▪ Enters into a market<br>as a trader | ▪ Operates his business<br>Leaves the market |
|---------------------------------------|----------------------------------------------|

#### 1. Types of Business Regulation

Business regulation may be classified into **Economic and Social Based** on the object of the regulation.

**A. Economic Regulation;** if the purpose of regulating traders' behavior is to ensure market competition. Economic regulation may further be divided into **structural regulation** and **conduct regulation**.

1. **Structural regulation** is used to regulate market structure. E.g. Restriction on market entry and exist and requirements of certain qualifications to provide professional services.
2. **Conduct regulation** is used for regulating behavior in a market. E.g. Minimum quality, rule against advertising and price control.

**B. Social Regulation;** if the purpose of regulating the traders' behavior is ensuring social justice such as equality, labor right, environment and fair price. E.g. Labor law, Environmental law, Consumer protection law, and Non-discrimination law.

### 1.2. Purposes of Regulation

One of the main purposes of regulation is to serve Public Interest.

#### Dimensions of Public Interest

Based on the area of interest intended to be protected public interest may be classified into:

- Political dimension of public interest
- Social dimension of public interest
- Economic dimension of public interest

**Economic dimension of public interest;** refers to welfare economics where regulation ultimately benefits every individual by enabling economic resources to be allocated efficiently.

### 1.3. Trade Regulation Laws in Ethiopia

Laws may be classified into declaratory and regulatory laws based on the purpose of a specific legislation or specific provision of legislation.

#### 1. Declaratory Laws

Declaratory laws are laws that declare the rights and limits to such rights in relation to similar rights of other individuals.

#### 2. Regulatory Laws

**Regulatory laws** are laws that set forth limitations on declaratory laws for the sake of protecting public interest. It reminds us the existence of tripartite and often conflicting interests in a political community. Regulatory laws which have the intention of protecting certain political, social or economic interest

## Trade Regulation Laws

Trade Regulation Laws regulate a conflict of interest between a trader and political community. Especial trader not to abuse the community by defining a trader, what a trader can or cannot do, and by setting ethical standard of a trader.

### 1.4. Introducing Major Trade Regulation Laws of Ethiopia

It is very difficult to exhaustively mention all trade regulation laws of Ethiopia. The following are some examples;

- Standard control
- Food & medicine control
- Commodity exchange market regulation
- Stock market regulation
- Commercial Registration and Licensing
- Trade competition and consumer protection
- The Commercial Code of Ethiopia
- Trade mark registration and protection
- Private higher education regulation
- Private primary & secondary education regulation
- Public transport regulation

## CHAPTER TWO: DEFINING TRADE AND TRADER

Economic activities are activities that are carried out with the intention to produce and distribute goods and services. An economic activity is carried out with the intention to produce more goods/services than already exists.

### 2.1. Trader under Ethiopian Commercial Code

#### 2.1.1. Who is a Trader?

“A trader is **any person** who **professionally** and **for gain** carries on **business activity**.” Art 5

Trader is either a human being or an entity having legal personality.

As indicated under Article 4(1) of the Code artificial persons such as cooperative societies, the state and its organs, charities and societies are not regarded as trader since they do not fulfill the criteria of profit-making purpose.

The term “**Professionally**” refers to regularity than specific qualification.

The purpose of the law maker in utilizing the word professionally in describing a trader is to exclude the possibility of regarding as a trader, persons who occasionally carry out economic activities with the intention to make gain.

### Examples of Business Activities

**The lists of economic activities under Article 5 are intended to give examples.** Unless expressly prohibited by a law as provided under Article 21 a person may engage in any economic activity of his choice which might have not been imagined by the law maker or even by any other trader.

**But why the law maker provides such lists when the lists do not have any legal effect?**

- 1) The fact that we Ethiopians have been predominantly agrarian until the commercial code introduced business activity.<sup>1</sup> This means the law maker has the additional task of telling the people of Ethiopia that agriculture is not the only economic activity.
- 2) The tendency of the civil servants who rush to prohibit everything not expressly granted by law

#### 2.1.2. Exceptions to Article 5

Article 6-8 lists persons who may not be regarded as a trader even though they may engage in any of the economic activities mentioned under Article 5. **Because;**

These persons do not have the intention ‘to accumulate wealth’<sup>2</sup>. They are doing everything to fulfill subsistence need. Therefore, the following are not traders;

- State and its agencies
- Charities and societies
- Small scale works
- Handicrafts person
- Agricultural and forestry undertaking

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<sup>1</sup> Which commercial code? CC of 1960 or the 2021? I am to the opinion that this answer of the writer might be true in case of the old code but not for the new one.

<sup>2</sup> To accumulate wealth or to gain profit? Is there any difference between the two? I am to the opinion that the two have a difference. Moreover, the question here is the code under art 5 used the phrase “**to gain the profit**” but not “**to accumulate wealth**”. Yes it is obvious that the traders have been engaging into trade activity with intention to accumulate wealth. Thus, it seems the intention of the writer here is that those who are listed under exception are also engaged into such trade activities with intention to get profit so that to fulfill their subsistence but not to accumulate wealth. After all I buy his justification nicely.

- Professional activities

**The criteria that the Commercial Code uses to determine the exceptions to Article 5**

1. **The nature of legal personality; (state and its agencies, charities)**
2. **The size of the economic activity; (small scale work)**
3. **The technology used (handicrafts person) and**
4. **The level of economic activity (agriculture and forestry undertaking) and**
5. **The organization of the economic activity (professional activity)**

#### **Article 4(1) & Article 24: Artificial Persons**

As provided under Article 4(1) only **business organizations and public enterprises** can be assimilated to a trader. Other artificial person can never be regarded as a trader even in case when they engage in activities mentioned under Article 5.

Art 24, *“The conditions on which not-for-profit civic organizations or other organizations not established for business purpose may carry on trade and the consequences thereof may be determined by law.”*

Art 4(1) Unless otherwise expressly provided by law, the provisions of this Code shall not apply to administrative organs that are bodies corporate under public law, religious institutions, civil society organizations and cooperative societies even where they carry on activities under Article 5.

**However; it is difficult to understand the mission of Article 4 and 24 because of the following reasons:**

The state and its agencies are policy developers, regulators, law enforcers and public good providers. This means they never can engage in economic activity. For example, education and health service may be **economic activities**<sup>3</sup>. But they have delivered those services without taking into account the direct economic gain which can have market value rather they are providing public good.

Economic activities are beyond the objectives of religious institutions, associations, charities and societies.

Associations are established to engage in social issues they do not have reason to engage in economic activities. Societies (such as Ethiopian Lawyers' Association, Association of Ethiopian Medical Doctors, Ethiopian Economists Association) are established to advance the professional interest of their members.

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<sup>3</sup> An activity is called an economic activity when it produces goods or service which can have market value.

Article 4 (2) seem to confuse property ownership with business ownership. This sub article provides about the administration of **Shares**<sup>4</sup>. Property right is expressly recognized for individuals and juridical persons equally as envisaged under Article 40(2) of the FDRE constitution without making distinction as to the type of the artificial person. Moreover; this article appears to give a dangerous message that all artificial persons can be investors (not necessarily traders).

1. The first danger is that administrative agencies could possibly use the public fund beyond the objective of the fund by becoming investors. As we know investors bear risk of loss. So public fund is at the risk of being lost due to the decision of political leaders who lacks market knowledge.
2. The second risk is the possible destruction of competition in the economy where religious institutions become investors because customers possibly choose the goods/services of those companies where religious institutions have economic interest not based on quality, quantity or price, which defeats the law of demand and supply.

#### **Article 6: Small Scale Activities**

A person who carries out any of the economic activities mentioned under Article 5 of the Commercial Code in small scale, considered as if he is engaging in a subsistence economic activity **despite of** the revenue he may generate from such activity.

A business is said to be a small scale if it fulfills the following **three criteria cumulatively**: If any of these criteria is missing, the person engaging in economic activity defined under Article 5 is called a trader.

1. **Primary economic activities or Labor Supply** (Article 6(1) Cum. Article 5(4,5,31,32,33,35 & 36)
  - Farming (plant growing, animal husbandry and fishing)
  - Consultancy
  - Medicine
  - Veterinary
  - Education
  - Security
  - Secretary Service o office support
2. **Three or less Employees**

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<sup>4</sup> A share is an incorporeal property. This means it is subject to property law under the Civil Code of Ethiopia. A share is also a negotiable instrument and thus it is subject to the Commercial Code of 1960 of Ethiopia.

### 3. No accumulation of raw material or stock

#### Article 7 Handicrafts Person

Handicrafts are items made by hand, often with the use of simple tools. Potters, gold/iron smith, weavers, shoemaker, carpenter, butcher (a person who slaughters animals or dresses their flesh).

#### Article 8: Peasants/Pastoralist, Communities/Cooperatives

Since farming is usually practiced by using very old technology by using rainfall water, a farmer rarely has the intention to accumulate wealth. It is the lack of this intention and not the amount of income generated or the way such income is generated that distinguishes peasant/pastoralist from a trader.

Article 8(1) is absolutely awkward or at least absolutely unjust and even very shameful provision. Since, there should be no one who could tell pastoralist what to do with his livestock since such is a property right guaranteed under the FDRE constitution Article 40(1). Moreover; there should be no one who will tell him what to feed to his cattle since such is part of the administration of his private property. A person may sell his own grazing land and buys factory produced forages for his cattle. Read the Amharic version;

....ማናቸውም ከእርሻ፣ ከደን ማሌማት፣ ከችግኝ ማብቀል፣ ከእንስሳት ማርባት ጋር ወይም የግጦሽ ሣር ከማሳደግ ጋር የተያያዙ ሥራዎችን የሚሰሩ፣ ከሚጠቀሙበት መሬት ያገኛቸውን ምርቶች የሚሸጡ ወይም ከሚጠቀሙበት መሬት ባገኙት አሊባ እየቀለቡ ያረቧቸውን እንስሳት የሚሸጡ ሰዎች፣ የዘወትር ልማድ መሠረት በማድረግ ከሚያለሙት ወይም ከሚያዙበት መሬት ላይ ያገኙትን ሰብል ወይም የእንስሳት ተዋፅኦዎችን አቀናብረው የሚሸጡ ሰዎች ካጋዳዎች አይባሉም፡፡

#### 2.1.3. Trader, Investor, Entrepreneur, Professional Activity

##### A. Investor and Investment

An investor is a person who provides capital necessary to carry out business activity whenever such capital earns more income than it might earn as a bank deposit or rent.

##### B. Trader vs. Investor

An investor is not regarded as a trader by the mere fact of the investment activity.

A trader owns and manages the business and runs the business activity. However, an investor has no such roles; he simply collects the profit or the interest as he agreed with the trader. A trader might have been the one who invested in the business in case when he covered the whole or part of the capital necessary to run the business either by using his own property or borrowing from investors or financial institutions. In such case the person is both an investor and a trader.

There is a possibility that a trader has invested nothing to begin the business in which case he has no status of investor but only a status of a trader. This may be the case in joint venture where the trader is the one that runs the business but the capital to run the business is supplied by the non-disclosed partner.

### **Trader vs, Entrepreneur**

An entrepreneur is the one who realized that the production cost of certain good/service is less than the market price of such thing. The entrepreneur identifies the goods/service to be produced, its methods of production, its cost of production and finally its market price. He innovates the economic activity and designs its business method.

- ✓ The entrepreneur may run the business himself by covering the capital necessary to run it. In this case, he is an entrepreneur, trader and investor.
- ✓ He may run the business himself but finds a secret joint venture that supplies the capital necessary. In this case he is an entrepreneur and trader but not an investor.
- ✓ He may sell the business idea to someone who wants to operate it. In this last case he is an entrepreneur but neither a trader nor an investor.

## **2.2. Capacity to Become a Trader**

In principle every individual has the constitutional right to engage in business activity either individually or in collaboration with others. However, incapacity, and marriage may possibly limit such rights.

### **2.2.1. Incapacity as a Limitation to Become a Trader (Article 10-14,)**

Incapacities of an individual are of two types.

1. General disability which emanates from age, health or criminal liability
2. Special disability which emanates from occupation or nationality.

#### **I. General Incapacity**

**Art 10(1)** expressly prohibits incapable persons from becoming a trader. Further as per art 10(2) any business activity carried out by incapable person does not produce any legal effect. This sub article impliedly warns that the act of carrying on business activity shall never open a room for incapable person who carried out such activity to be regarded as a trader.

A tutor can never start a new business venture on behalf of a minor or interdicted person. If a tutor earnestly believes that the minor should be a trader, he has to petition to the court to get the minor emancipated.

Capacity is presumed. Every person is presumed to be capable Therefore; a party who want to benefit from the incapacity has to prove the existence of such incapacity.

## II. Special disability, art 22

“Particular persons may be restricted or prevented from acting as traders or from carrying on a particular trade that is incompatible with their work by legal provisions. Article 29, 38, 202, and 319 of the same code which prohibits an employee from competing with the trader can be taken as an example.

Nationality may also be a restriction on the individual right to become a trader. The Ethiopian Banking Regulation prohibits foreigners to engage in banking and insurance business and moreover; Ethiopian investment law prohibits foreigners from engaging in certain business activities.<sup>5</sup>

### 2.2.2. Marriage as a Limitation against Trading (Article 15-20)

Article 15-20, regulates how a married person may engage in business activity without unnecessary affecting the rights of the other spouse and the market economy.

To protect the interest of the market, first paragraph of Article 15 of the code provides that a trade activity started and carried out by one spouse is considered as a joint enterprise of both spouses. Such joint enterprise is defined under Art 18 of the Code, which means “*debts contracted by the trading spouse shall be deemed to be debts of the marriage and may be recovered on the personal estate of each spouse and on common property.*” To balance this market interest against the family interest the code authorizes one of the spouses to object the business activity, Art 15. **However; objection affects only those who are:-**

#### 1. Aware of such objection

There is no special form of objection. A spouse may give the objection in writing, orally or in any other form of communication. But this spouse has a duty to prove that he/she has made the other spouse or third parties to be aware of his objection of the trading activity.

#### 2. Presumed to be aware of such objection

Objecting spouse may relieve himself from such burden of prove by showing that he has entered his objection in the Commercial Register.

### Effects of Objection

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<sup>5</sup> Investment Regulation No. 474/2020, Articles 4-6

The whole purpose of the objection is to relieve the common property and personal property of the objecting spouse from being used as a guarantee of debts that might arise from the business activity. Objection may be made at any time. NB. *Marriage never inhibits a person from engaging in trade activity since choosing a calling is a constitutionally guaranteed individual right.*

#### **Joint Enterprise vs. Trade in Cooperation**

Trade in cooperation implies that the business is started by both spouses conjointly.

Joint enterprise means both spouses are traders since a business started by one spouse and willingly or mandatorily accepted by the other spouse.

**CHAPTER THREE: ASSISTANTS OF A TRADER**

A trader usually has one or more assistants called auxiliaries. The power and responsibilities of these auxiliaries are varied but can be categorized into three groups based on the job description of the employees.

1<sup>st</sup> group are those who provide office support service such as accountants, secretaries, & human resources persons.

2<sup>nd</sup> group are those employees that engage in the production of goods/service for such as cooks and chefs for restaurant, engineers in the construction company

3<sup>rd</sup> group are those employees that have the responsibility of buying and selling goods/service as part of the business activity of a trader. The main focus of this chapter is this 3<sup>rd</sup> group.

Based on the type of the contract that created the relations ship between a trader and those individuals that buy and sell goods/services as part of the trader's business activity, auxiliaries can be classified into employment contract and agency contract.

**3.1. Commercial Employees (Article (Article 27-41)**

Commercial employees are employees of a trader. These employees are either commercial employees or managers or commercial travellers or commercial representatives. Only physical person can be employed as a commercial employee.

**3.1.1. A Sales Person (Article 27-31)**

A sales person is an employee that sells goods and services on behalf and in the name of a trader. Any transaction that he makes while on duty creates rights and obligation on the trader.

A salesperson is said to be on duty when he enters into a sale contract while he is in the sales store during or even outside of a working hour. Thus, a mere existence of any person in the sales stores implies that the person in the store is a sales person.

Any transaction the salespersons make or any collection of payment he makes outside the sales store binds the trader only if there is express or tacit authorization to such effect.

An employment contract of a sales person may be terminated if the sales person engages in private trade in competition with the trader in his own behalf or on behalf of a third person. Art 29(2)

**3.1.2. A Manager (Article 32-35)**

A manager is an employee of a trader and he is not a trader himself. The employment of a manager has to be entered into a commercial register although third parties may use the contract of employment as evidence to show the managerial power of an employee.

He represents the trader in all juridical activity except that he cannot sell or mortgage an immovable property or the business itself. Art 34/2.

A limitation of the power of the manager in the contract of employment shall have no effect on the third party except such limitation is to the management of a branch. See art 35 and 103 of the CC.

**3.1.3. A Commercial Traveler (Article 36, 38, 39 & 41)**

A commercial traveller is employed to advertise the goods and services of the trade by going from the head office of a trader to the residence of a possible client. Their main duty is to find a client and solicit the goods/services of the trader. He is not a sales person although he might carry the goods with him for sampling purpose. Unless otherwise agreed, contracts entered into by a commercial traveler shall be presented to the trader for his confirmation. Art 36/2

**3.1.4. A Commercial Representative (Article 37, 38, 39, 40 & 41)**

A Commercial representative is employed to advertise the goods/services of the trader outside of the trader's business residence. He is an ambassador of a trader. His main duty is to find a client and solicit the goods/services of the trader outside of the business residence area. Commercial representative differs from commercial traveller in that the former works outside of the business place of the trader whereas the latter resides in the business place of the trader.

**3.2. Agents of a Trader (Article 42-60)**

The similarity between commercial employees and Commercial agents is that both represent the trader before his clients.

A trader creates contractual relation with agents by agency contact. Commercial Agents may be physical person or a business organization or a public enterprise. Agents that help the trader in his business activity may be commercial agent or commercial broker or commission agent. Commercial agents are traders themselves.

**3.2.1. A Commercial Agent (Article 42-53)**

A Commercial agent is an agent "who is entrusted by a trader with representing him permanently in a specified area or to certain customers of the trader and dealing or making agreement in the name and on

behalf of the trader.” Art 42/1 the word ‘permanently’ implies that the commercial agency contract is not time bound or is for an indefinite period of time. So, if a trader appoints someone as an agent to represent him only on a particular dealing or only for a specified period, such agent is not a commercial agent.

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- Agent need to carry out his responsibility personally, art 49
- Agent bears the recurrent costs and expenses of the agency activity as the agent is a trader himself  
However; a contract with the trader may provide to the contrary

### **Sanctions for violation of Obligations by the Commercial Agent**

- Termination without notice, art 50(2)
- Termination of agency contract plus damage when the agent carries out similar private trade, art 45/3

### **Causes of Termination of Commercial Agency Contract (Article 50)**

- Expiry of the business activity;

Since Commercial Agency Contract is defined as a permanent contract Article 50(1) of the Commercial Code should be understood to mean not the time of the contract but the expiry of the market which makes the agency unnecessary. But see art 50/1(a)

- Death, incapacity, dissolution of the commercial agent or the principal
- Termination by notice for no good cause
- Termination without notice for **good cause**<sup>6</sup>

### **3.2.2. Commercial Broker (Article 54-57)**

A Commercial Broker is a person who is appointed by a trader to negotiate contracts with third parties on behalf of the trade Art 54/1. He may be employed to this task either by a buyer or a seller or sometimes by both. He is not an agent and hence any transaction he enters into or any payment he receives does not bind a trader.

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<sup>6</sup> For instance carrying on a private trade similar to the trader by himself or on behalf of others in his **duty area** even after termination of agency contract for at least three. See art 53

**Right to Remuneration (Article 57)**

- ✓ The right depends on a conclusion of contract only no matter whether such contract is performed or not.
- ✓ Only a trader who agreed to use the brokerage service pays
- ✓ Bad faith of the commercial broker nullifies his right to remuneration<sup>7</sup>

**3.2.3. Commission Agent (Article 58-60)**

A commission agent is an agent who is authorized by a trader “to buy or to sell goods, movables or any other thing of a similar nature in his name, but on behalf of the principal.

**The distinction between commission agent and commercial agent;**

In case of commission agent the contract is concluded by the name of the commission agent himself although the benefit of such contract goes to the trader. This means a principal trader is unknown to those who buy goods/services of this trader or sell goods/services to this trader. However; a commercial agent clearly discloses the trader’s name to clients. The best example of commission agent is a stock broker.

Applicability of the Civil Code (Article 2234-2252)

**CHAPTER FOUR:****COMMERCIAL REGISTRATION, TRADE NAME REGISTRATION, AND BUSINESS  
LICENSE**

It might be in the interest of the public to regulate the entry of a trader into a trading activity. This shows that a decision of a person to engage in an entrepreneurial activity may not be enough to start operating business. Rather there are legal conditions that need to be fulfilled to join trading activity to make sure such trading activity is compatible with public interest.

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<sup>7</sup> If he works for the benefit of a third contracting party in a manner prejudicial to the interests of his client or when he received payments from a third contracting party without the knowledge of his client.

#### 4.1. Commercial Registration

##### 4.1.1. Commercial Registration & Public Interest

Commercial Registration refers the entering of a name of a trader, the type of a business activity he intends to engage in, the name of the business (trade name) and other related information in a document prepared to register traders.

Commercial Registration guarantees public interest of market competition and the individual right to information. It has at least three benefits;

1. It helps the trader himself and other traders; a trader can have information about who engages in business activity, the type of business activity and the address of a trader. Such information may help a trader to plan his business activities.
2. It provides information to the regulatory organ that has the responsibility to enforce competition laws.
3. The consumers/clients can have full information to make the trader accountable.

##### 4.1.2. Entries in the Commercial Register

Things that have to be registered are facts that describe the trader such as the name of the trader, his address and the business activities he carries out and trade name. The entries may be principal, subsidiary, complementary, alteration or deletion, art 78. The content of entries depends on the type of registration.

There are two types of registration; ***Principal Registration<sup>8</sup>*** and ***Summary Registration<sup>9</sup>***

**Principal Registration;** implies that a trader is entering into a commercial register for the first time.

**Summary Registration;** implies that the trader was principally registered somewhere else in Ethiopia. In a registration he is making subsidiary or complementary registration such as opening new branches. Look at art 87 and art 88, particulars of their registrations.

##### 4.1.3. Cancellation of Commercial Registration

A trader can be cancelled from a commercial register if any of the following happens:

- A trader stops operating a business
- Cancellation is imposed as an administrative penalty
- Court gives an order to cancel the business license
- Fraud was committed during registration

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<sup>8</sup> Article 87

<sup>9</sup> Article 86

- A trader failed to start business operation ***within one year*** unless justified
- Cancellation of business license for any reason

#### 4.2. Trade Name Registration

A trade name is a name of a business. A trader may operate multiple businesses. For example, a trader may have a hotel business in Addis Ababa, a tour guide business in Lalibella, a dairy farm business in Sheger. A trader uses a trade name in order to distinguish these businesses from each other and from similar businesses of other traders. Registration of a trade name is quite important to provide sufficient information to consumers and to protect a trader himself against unfair competition

#### 4.3. Business License and Public interest

Business license is an identification card issued by a competent authority to prove that the holder of such card is a trader. Such identification is a very important source of information for a consumer, tax collector and crime prevention police.

By looking at a business license a consumer could easily recognize that the person with whom he is dealing is a trader. Business license could also simplify the tax collection activity since the business license relieves the tax collector from trying to answer a question whether the person with whom he is engaging is a trader as per Article 5 of the CC.

**What are public interests that the Ethiopian Government has intended to ensure by requiring traders to get business license to start entrepreneurial activities?**

- Crime Prevention
- Health & Sanitary Protection
- Environmental Protection
- Safety Precaution
- Quality Standard Assurance
- Public morality protection

##### 4.3.1. The negative aspects of business licensing law

Even though business licensing law is intended to protect public interest it may also be against certain types of public interests. One of the major draw backs of business licensing is stifling entrepreneurship.

1<sup>st</sup>, Business license issuing authority has to check whether the entrepreneurial activity for which business license is sought is morally and legally acceptable. The civil servant that issues the license has the tendency to reject for innovative economic activities as if such activity is not recognized as

entrepreneurial activity under Article 5 of the CC. Although there is a right to appeal against the decision of such civil servant, the business idea may possibly expire until the court rules on the appeal. Even the court itself may not understand the innovative nature of the activity applied for.

2<sup>nd</sup>, major problem of business licensing law is the possibility creating market entry barrier thereby shielding market monopoly. The business issuance procedure may take long thereby prohibiting or delaying the entry of competitor into a market timely. Government officials and civil servants may intentionally and sometimes unintentionally collaborate with dominant suppliers to block new entrants into a market.

3<sup>rd</sup> Administrative and compliance cost. The cost of complying with licensing requirements can be burdensome.

#### 4.3.2. Conditions and Steps to Obtain Business License

##### ■ Conditions to Issue Business License

The issuing authority has to consider only three things to issue a business license.

- The first and the very basic thing is submitting **commercial registration** certificate,
- The description of the business activity, the business licensing authority may refuse to issue a business license of the business activity is not clearly indicated.
- Morality & legality of the business

**What is the difference between ‘business licensing’<sup>10</sup> and commercial registration?**

#### 4.3.3. Organs Responsible to Issue Business License

The organs responsible to issue business license can be categorized into three.

- 1) The Sectorial Ministries/Agencies/Authorities
- 2) The Ministry of Trade & Industry
- 3) The States’ Bureaus of Trade & Industry

States’ Bureau of Trade and Industry issues business license for any business activity limited within their administrative boundary regardless of whether the business activity is carried out by a sole trader or a business organization, a public enterprise, an international business organization or association, an

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<sup>10</sup> See, Commercial Registration & Licensing Proclamation No.980/2016

association or a commercial representative. The only criterion is the area limit of a business activity for which a license is sought.

However; a trader who has received business license from a State can open branches in other states without receiving additional business license but such trader has to make registration. This implies that the responsibility of Ministry of Trade & Industry is impliedly delegated to the States' Bureau of Trade & Industry.

#### 4.3.4. Validity Period of Business License

A legally issued business license loses its validity because of the following three reasons:

- Not renewed within six months of the end of a budget year
- Suspended by the issuing authority
- Cancelled by the issuing authority or court

#### 1. Renewal Period & Renewal Steps

A business license remains valid only for the budget year it is issued or renewed for. Or it should be renewed for every budget year. To renew his business license a trader is given a six-month period starting from the first day of the new budget year.

#### A trader who wants his business license renewed for the next budget year has to submit;

- Completed Application form
- Tax Clearance
- Balance sheet in the case of Private Limited Company. Company's application for renewal may be refused if its balance sheet shows loss of three-fourth of its capital

#### Consequences of Failure to Renew Business License

Failure to renew license within six months of the new budget year entails two consequences.

- a. The first is Penalty fee for the remaining months of the budget year. The fee is birr two thousand five hundred for the seventh month and an additional one thousand five hundred birr for the following five months.
- b. The second consequence of failure to renew business license until the end of the new budget year is **cancellation of the business license**. A trader whose business license is cancelled is obliged to stop the business activity for one year and can apply for new business license after one year. However; if

the trader can prove that it was force majeure that prevented him to get the business license in the budget, he can get a new business license without waiting for one year.

## **2. Suspension of Business License**

The suspension of business license forces the trader to stop the business activity up until the trader rectifies faults that has led to the suspension.

## **3. Organs empowered to suspend the Business License**

The organ that is empowered to suspend a business license is the organ that has issued such business license. However; since court has a constitutional power to interpret a law and pass any decision it deems legal. However; court suspension of a business license is a rare case.

### **4.3.5. Cancellation of a Business License**

Consequences of Cancellation of Business License;

- Closure of business premises by the issuing authority
- A trader can never carry out such specific business activity

#### **Any trader;**

- 1) Who terminated his business activity by returning the business license, within renewal period without penalty can obtain such business license at any time he wants.
- 2) Who terminates his business license without returning the business license on time can obtain such license after a year.
- 3) Whose business license was cancelled for violation of trade regulation law can obtain such business license after two years.

### **4.3.6. Sanctions for Operating Business without Business License**

Operating business without entering into a commercial register or without obtaining business license has three cumulative sanctions, administrative, criminal and civil sanctions.

#### **A. Sanctions for Failure to Enter into Commercial Register**

##### **I. Administrative Sanction**

There is no administrative sanction for failure to enter into a commercial register provided under CC and the licensing proclamation. This may be due to the purpose of commercial registration that is to enable third parties to have access to information. This shows that administrative measures are less productive to enforce individual rights to information and the civil remedy would be more feasible and just.

## II. Civil Sanction

As provided under Article 103 of the Commercial Code the following facts relating to persons who are traders shall not affect the rights of third parties in good faith where they have not been entered in the commercial register:

- The **minority** of the trader
- The marriage of the trader
- The marriage settlement of the trader
- The dissolution of the marriage of the trader
- The limitation of the powers of a manager to the management of a branch or representative office
- The judgment declaring the trader incapable
- Objection by a spouse
- The removal or dismissal of a manager

## III. Criminal Sanction

S/he shall be punished with fine from Birr 10,000 (ten thousand) to Birr 30,000 (thirty thousand) and with simple imprisonment from one year to three year.<sup>11</sup>

### B. Sanction for Engaging in Business Activity Without Business License

#### i. Criminal Sanctions

Punishable with fine from Birr 150,000 (one hundred fifty thousand) to Birr 300,000 (three hundred thousand) and with rigorous imprisonment from 7 (seven) years to 15 (fifteen) years

#### ii. Administrative Sanctions

Closure of business premises by the issuing authority

#### iii. There is no civil sanction

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<sup>11</sup> Commercial Registration & Licensing Proclamation No.980/2016, Article 49(8).

## CHAPTER FIVE: BUSINESS

Business is a private property. **What is private property?**

**5.1. Definition of Business (Article 106-122)**

PP is defined under Article 40(2) of the FDRE Constitution, Private property "...shall mean any **tangible or intangible product** which **has value** and is **produced by the labor, creativity, enterprise or capital** of an individual citizen, associations which enjoy juridical personality under the law, or in appropriate circumstances, by communities specifically empowered by law to own property in common." Basic elements of the definition;

- Private property may be tangible or intangible thing
- Such thing has value
- Such thing is the product of labor, creativity, enterprise or capital
- The producer may be an individual, artificial persons or community

Business fulfills those 4 elements of the definition since business is an intangible or incorporeal movable in its characteristics as property. It has value since it is something useful but scarcely available. Business is the outcome of handwork of a trader (individual, business organization or public enterprise). Thus, business is a private property.

The owner of private property has the right to dispose of such property by sale or bequest or to transfer it otherwise. Thus, **Business Owner** may transfer his business by sale or donation or he may give it as security for his own debt or other persons' debt or allow another trader to operate the business upon payment of some fee or without any payment.

**5.1.1. Précising Definition of a Business**

"A business is an **incorporeal movable** consisting of all movable property **brought together and organized for the purpose of carrying out any of the commercial activities** in Article 5 of this Code." (Article 106)

The law intends to exclude corporal movables from the contours of business.

**Corporeal movables** are things which have material existence and can move themselves or be moved by man without losing their individual character." Art 1127 civil code, also the Code uses the word **chattels** to mean movable things.

**Incorporeal movables** are things which do not have material existence but can be moved by man without losing their individual characters. There are no incorporeal immovable since only buildings and lands are deemed to be immovable under Article 1130 of the civil code.

Therefore; business does not have anything to do with corporeal movables of a trader such or immovable of a trader even if these properties might have been brought together and organized for the purpose of carrying out commercial activity. For example, a trader is engaging in hotel business, he needs chairs, sofas, kitchen utensils, a land/a building (a premise where clients sit to eat, where food items can be stored), food items, cars used to transport clients or goods necessary for the hotel service. But none of these things form part of a business. Incorporeal properties of the trader are those properties other than corporeal movables and immovable. Only these incorporeal properties are within the contour of business.

***“...brought together and organized”?***

Trade name, patent rights, and trademarks are some of the examples of incorporeal movable. Although incorporeal movables are within the contours of a business, they are not business by themselves either individually or in totality. These rights are the raw materials (blocks) that a trader needs to build a business. Until the trader uses these properties ‘**to build a business**’<sup>12</sup>, the properties remain ordinary incorporeal properties.

It is **Goods Will** that is the foundation of the business. After a trader obtains good will among his client he immediately gets trade name, trade mark and other distinguishing marks.

A business is something built by a trader using incorporeal movable properties. The law is referring to this building process when it uses the phrase “... brought together and organized”.

*A trader may operate a business in the capacity of owner, usufructuary or lessee; only the person who operates the business shall be deemed to be a trader and the owner or lessor of the business shall not be regarded as a trader. Art 107(3)*

The size of a business is determined by the number of possible customers/clients it has.

### **5.1.2. Elements of a Business (Article 109-121)**

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<sup>12</sup> What is by **to build a business**’ mean?

A business consists mainly of goodwill, art 109(1). A business owner gets good will from the creation and an operation of business, see art 112.

### Article 113, Preservation of Goodwill

This Article describes the techniques that the business owner may use to avoid the erosion of good will. The techniques are prohibiting;

- Commercial employees, commercial traveller, commercial representative, and commercial agent from carrying on similar private trade
- The lessor of a business premises to carry on similar business on the same building
- A seller of a business from carrying on the same or similar business activity with the buyer for a maximum of five years starting from the date of the sale of the business
- The lessor of a business from creating, buying or otherwise acquiring a business having similar objects during the currency of the hiring contract
- The lessee to compete with the business owner for a maximum of five years

**Good will** is the capacity of a business to attract clients to buy goods/services supplied by the person that operates the business.

A trade name is a name of a business. It enables the clients of a business to distinguish such business from similar businesses built and operated by other traders. A trader can never benefit from his good will if he does not have trade name since he cannot be identified by his clients unless his commercial activity is limited to very small locality.

### 5.1.3. The right to lease of the premise (Article 116-121)

A person who gets a premise by lease contract to operate a specified business may not operate a business other than the business he agreed to operate in the lease contract. The lessor provides such contractual terms in order to protect his business from disintegration. *For example*, the lessor was operating a hotel business on a premise suspended the hotel business for some time and he let out the premise for tailoring business. The lessee can never operate a hotel business on the premise since such may affect the business of the lessor.

The lessor is also prohibited from competing with the lessee by opening similar business on a building where the lessee is operating the business. Art 118/1.

A lessee has the right to sub-let the premises to the person who buys or his business or who gets his business by lease. This right can never be set aside by contract of lease of a premise. Art 119/1

## 5.2. Regulating Property Rights of a Business Owner

Since business is a private property. It's has the right to dispose, use and collect its fruits.

### 5.2.1. Sale of a Business (Article 122-142)

What does a sale of a business mean? A sale of a business is a contract of sale.

*A contract of sale is a contract whereby one of the parties, the seller, undertakes to deliver a thing and transfer its ownership to another party, the buyer, in consideration of a price expressed in money which the buyer undertakes to pay him. Art 2266 civil code*

Selling one or more constituent **elements of a business**<sup>13</sup> shall not be considered as a sale of business unless such sale entails or conceals the sale of the business or of the goodwill of a business.

### Written Form is Mandatory (Article 124)

A contract of sale of a business has to be made in writing unless null and void. The written agreement need not be attested by witnesses because the registration of the contract can substitute the purpose of witness attestation.

### 5.2.2. Liquidation of a business (Article 133,134,136-142)

Here the word liquidation is used to imply that the debt of a business owner in relation to the business he is selling has to be known and settled. To liquidate means to settle a debt by payment or other settlement.

A person responsible to liquidate a business is a buyer of that business, arts 133 & 136/1. If a buyer fails to carry out this responsibility, he is liable to the creditors who have claim against the seller of the business in relation to the business.

### 5.2.3. Liquidation Procedures (Article 133,134,136-142)

1. Publication of the contract of sale of the business (Article 133 & 136). The document to be published on a newspaper has to contain particulars stated under art 137. The notice shall be published within thirty days of the sale of the business. Buyer is liable for any damage that the creditors of the seller would suffer due to the delay of the publication of the notice beyond thirty days.

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<sup>13</sup> elements of the business are such as a trade mark, patent right and trade name

Creditors may apply to court to set aside the sale (Art 139 and 140). A creditor who comes to know that a business from which he claims payment has been sold has two options.

- 1<sup>st</sup> to talk to the seller and the buyer to get his claim paid or at least guaranteed by the buyer.
- 2<sup>nd</sup> to apply to the court to get the contract of sale set aside

If the buyer has published the sale as per Article 136, the creditor must file his application to the court within thirty days of the publication to set aside the sale of business K. **However;** if the publication has not been made at all or does not give sufficient information, an application to set aside may be made at any time.

The effect of setting aside is to order the distribution of the sale price among the creditors of the seller of the business, art 141.

#### **When does a Seller get the Price? (See Article 138-142)**

The seller gets the sale price after the business is liquidated.

- ✓ The buyer is late to get the sale contract published as indicated under Article 138 or
- ✓ No creditor appears to oppose the sale as indicated under Article 139 or
- ✓ The opposition is rejected as indicated under Article 140

#### **5.2.2. Mortgage of a Business (Article 143-155)**

Mortgage of a business is a security interest on a business since it is a property. A security interest gives a creditor priority right on the property on which he has security interest. A mortgage is a property right given to a lender, which makes the mortgaged property liable and available to pay the loan in priority of any other persons claim. A pledge is also a security interest.

#### **Mortgage vs. Pledge**

The distinction between mortgage and pledge is the issue related to the possession and administration of the property that is the subject of security interest.

#### **Pledge/If the security interest on the property is pledge**

- The owner gives up his possession and administrative in favor of a creditor or a third party.
- The pledgee proves his priority right by showing that he possesses such thing

#### **Mortgage/ if the security interest is mortgaging**

- The owner remains the possessor and administrator of the mortgaged property
- Mortgagee proves his priority right by showing that he has got his security interest registered.

This distinction relates to the proof ownership. If an ownership of a certain property can be proved by possession, then the security interest on such property is pledge where as if the ownership is to be proved not by possession but by title deed then the security interest on such property is mortgage.

### **Sources of Mortgage of Business (Article 143(2))**

A mortgage may result from the law or a judgment or be created by a contract or other private agreement.  
Art 3041 Civil Code

### **Legal Mortgage of Business (Article 144-147)**

Who is entitled to “**legal Mortgage/ (ከሕግ የመነጨ የዋስትና መያዣ)?** (Article 144)

Only a seller of a business has legal mortgage on a business. As per Article 134 the seller of a business is entitled to payment of the sale price after the buyer completes the liquidation of the business. The buyer takes possession of the business and possibly the business is registered in his name before the sale price is paid to the seller since payment has to wait for liquidation. To safeguard the seller against possible bankruptcy of the buyer, the law compensates the seller by allowing him to have legal mortgage on the business he sold.<sup>14</sup>

The seller’s priority right to collect the sale price of a business he sold is not automatic but subject to the following requirements;

- The contract of sale of the business is made in writing
- The contract of sale is registered

### **The security interest of a creditor matures in the following situation:**

- A debtor is in default of paying his debt
- The contract provides that sale of the business as condition of maturity
- The value of the business declines
- The business is relocated without notice to the creditor

<sup>14</sup> Note that Article 144(1b) is a very destructive provision since it has the potential to make us doubt the whole purpose of security interest. As we understand security interest is a priority right. If so, then against whom do the creditors of a bankrupt trader have priority right?

The priority right of the mortgagee is limited to the elements of the business that existed at the time of the conclusion of the mortgage contract it does not extend to these newly added incorporeal properties. See art 153/2

### **5.2.3. Hire of a Business (Article 156- 167)**

“A contract of letting or hiring is a contract whereby one party, the lessor, undertakes to transfer to the other party, the lessee, the possession of an object for a fixed term in return for a consideration called rent or hire.” Civil code, art 2727

Subject of the Hire contract is movable property

Unless otherwise provided by special law, such letting contract is subject to the Civil Code provision which run from Article 2698 to 2738. A lessor may not necessarily be an owner of the business he lets out since the letting contract may give the lessee the right to sub-let, see art 163

### **Publication of the Contract of Letting out Business for Hire (Article 157-159)**

The purpose of publication is to produce a legal effect on third party's interest and to release the lessor from liability.

### **Obligation of the Lessee (Article 160-163, 167)**

- Add the word “lessee” on all his business papers
- Operate the business with the care due
- May be contractually required to produce securities to guarantee the fulfillment of his obligations towards the lessor or third parties
- Personally operate the business unless authorized in writing
- May be prohibited by contract not to compete with the lessor for maximum of five years

### **5.2.4. Contribution of a Business towards the Capital of a Business Organization (Article 168-171)**

Since a business is a property it can be used as a capital contribution.

If the business is used as a capital contribution there is a possibility of conflict of interest between the right of a trader to use his business (his property) to as a contribution, and the rights of the creditors of the trader and even the creditors of the business organization to which the business is contributed. The commercial code sets the following solution for such conflict of interests.

### **Protection of the Creditors of the Business, Arts 168-171**

The contribution of a business has to be published, art 168. This is to enable the creditors of the business to object the contribution of such business. **The effect of the objection is either to:**

1. Enable the objecting creditor to get paid or
2. Get contribution cancelled
3. Make the business organization responsible for the creditor's claim

***Notice that; such objection of the creditor never entitles the creditor to stop the contribution as far as the shareholders/partners of the business organization agree that the creditor can claim against the business organization.***

The creditor has to make his objection within thirty days from the date of publication of the notice of contribution. Art 170

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CHAPTER SIX

## INTRODUCTION TO BUSINESS ORGANIZATIONS

**6.1 Definition of Business Organizations and Its Elements**

*A business organization is an association established through a memorandum of **association by persons** who **bring together contributions** for the purpose of undertaking an economic activity in cooperation and of participating in the **profit made**. Article 172*

**6.1.1 Business Organization as an association of persons**

A business organization is an association of two or more persons. Association presupposes that two or more persons are involved. Thus, business organizations are groupings of at least two persons. **Except in case of;**

- 1) **One Member Private Limited Company (Art 534)**, which has just a single member but recognized as a business organization
- 2) **Share Company**, its formation requires a minimum of five persons (Art. 252(2)).

**6.1.2. Business organizations are “for profit associations”**

The associates come together to undertake an economic activity in cooperation and to participate in the profit made.” Thus, business organizations are “For-Profit Entities”. Generating and sharing profit is the driving force.

**6.1.3. Formation of Business organizations requires “contribution towards capital”**

Each associate must contribute and each of them is entitled to participate in profits. Each partner shall make a contribution in the form of money, movable or immovable property, skill, trademark, goodwill, patent, copyright, lease right, usufruct or other contributions, art 186/1.

Each party should participate in profits but the share of the parties in profits need not be equal. However, the agreement may never award all profits to one or only some of the partners. See art 178

**6.2.4. Business organizations are formed via a constitutive Document known as Memorandum of Association (MOA)**

Formation of a business organization, *except a joint venture*, shall be of no effect unless established through a memorandum of association, art 176.

The memorandum of association has some element of a contract document but it is a contract plus document. Thus, it is subject to validity requirements of contract per Art 1678 of the Civil Code.

MOA needs to identify the type of business organization being established; the members associating to form the business organization; the business activities to be carried out; what contributions each party made and its value; each partner's share in profits and losses; how the business organization shall be managed; the life span of the business organization; etc.

The object of a memorandum of association is creating the entity it aims to.

### 6.2.5. Business Organizations are Legal Persons

All business organizations *other than joint venture* shall acquire legal personality upon registration in the commercial register, art 175. Business organizations come into existence through a MOA which shall be authenticated by the appropriate authority, then followed by registration in the commercial register.

**A critical legal question here is whether partnerships are entities separate from their members or whether they are simply aggregate of members?** The theoretical debate divides itself into *The Entity Theory* vs. *Aggregate Theory* of Partnerships

#### 1. The Entity Theory

The entity theory characterizes partnerships as separate entities having their own rights and obligations different from members. Adoption of this theory entails recognition of a partnership as having: its own name; its own identity; a continuous existence independent of what happens to the members; the right to enter into contracts; the right to sue and be sued; the right to acquire property and to manage and dispose of the same; sole liability for claims against it (partners are shielded from liability for partnership debts).

#### 2. The Aggregate Theory

Holds the opposite position that a partnership: does not have an identity different from the members, and hence doesn't have its own name; lacks capacity to enter into juridical acts, standing to sue and be sued; does not have its own property but rather property is jointly owned by the partners; creates unlimited liability for partners for claims that arise against the partnership.

### 6.3 Types and Classification of Business Organizations

Classification of the BO is based on the nature of the business, the number of associates, their relative ability and willingness to take part in management and in risks/liability, and the amount of capital dedicated for investment.

### 6.3.1 Types of Business Organizations

The 1960 Commercial Code had recognized six types of business organizations while the Revised Code provides for seven types of them; introducing two new ones and removing ordinary partnership. Art 174

### 6.3.2 Classifications of Business Organization

Business organizations may be classified based on different criteria.

#### 6.3.2.1 Partnerships Vs. Companies

Business organizations may be classified into *either partnerships or companies*. The category of partnerships under Ethiopian law comprises: General Partnership, Limited Partnership, Limited Liability Partnership, and Joint Venture. In fact, joint venture is unique in that it does not have separate legal personality.

##### 1. Liability of Associates

In case company shareholders have the benefit of the limited liability. **Limited Liability** means that the parties that established the business organization will be liable only to the extent of their contribution; paid or promised to be paid as provided under the memorandum of association.

In most cases, partners in partnerships do not have the benefit of limited liability; in principle, partners are liable for the debt of the partnership. Creditors may recover their claim from the personal assets of the partners.

##### 2. Partnerships are more of collections of persons while companies are collection of capital

**Partnerships are called associations of persons rather than capital.** The personality of each partner is of much more importance than his contribution to the capital. Because of unlimited liability in which each partner may be held liable for acts of the other partner, the general attributes of each partner are much more important. **To the creditors as well**, who the partners are is of much value. This is so because in case the partnership fails to pay its debt, creditors resort to the personal assets of partners. Thus, the identity of partners is much more important.

Since, management of partnership is normally left to the partners, personality of a partner person as careless or diligent, active or passive, prudent or otherwise takes special significance.

**In case of Company;** whether the member is wealthy or poor has no importance. Also whether a member is diligent or careless, active or passive is of little importance in companies since the management of

companies is often beyond control of the members. The creditors' claims are limited to the contribution made that constitutes capital.

**As a result of these characteristics of partnerships and companies:-**

- 1) Shares in partnerships are not freely transferable, i.e., substitution of a partner by a new one is not simple because of the importance of personality of the partner rather than his contribution /share. But in companies' shares are relatively freely transferable.
- 2) Partnerships have precarious existence (shorter life duration) than companies. Anything that affects a partner such as death, incapacity, or bankruptcy of a partner would in principle result in dissolution of the partnership while this is generally not true for companies.
- 3) In the nascence of contrary stipulation in the memorandum of association, the default rule for decision making in partnerships is by a majority of individual partners rather than in proportion to partners' contributions. But in companies, decision making is in proportion to one's contribution of capital of a company.

**3. Management**

With respect to partnerships management, the law left to be the concern of the partners themselves. It allows relatively high degree of flexibility to partners in designing how to manage the partnership. The law plays only a supplementary role where the partners do not agree. Whereas;

In case of companies the law puts mandatory formalized rules on management of companies. E.g. A Share Company, for instance, should be governed by a share holders' meeting at the apex of governance, followed by a board of directors, managers and auditors.

**4. Capital**

Minimum capital requirement is provided for companies while no such minimum capital requirement exists for partnerships.

**5. Tax**

Companies also called corporations. In Ethiopian tax regime both partnerships and companies are treated for tax purposes as entities separate from their members.

The Ethiopian tax law classifies business income taxpayers as either individuals or bodies. Individuals are subject to progressive income tax rates while bodies shall pay tax equal to 30% of their annual taxable

income. After the payment of income tax at entity level, the distribution of profits (dividends) to the members is subject to 10% rate.

However, taxation of a joint venture in Ethiopia takes a different form. A joint venture is not a legal person and is not required to report a tax of its own. Tax will be paid just like the taxation of any trader.

#### **6.3.2.2. Public Companies Vs. Private Companies**

The distinction is based on whether the securities of the company could be offered to the public or not. A private company is not allowed to offer to the public any securities of the company while public companies are allowed to do. In the Ethiopian law context, Share Company belongs to the category of public companies while private limited company and one-person private limited company fit into the class of private companies.

#### **6.4 Dissolution and Liquidation of Business Organizations**

The termination of business organizations passes through three successive steps:

- Dissolution
- Liquidation (also known as winding up), and
- Cancellation from the commercial register

Dissolution of BO refers to the decision of members or the court or the occurrence of events that are legally recognized to bring the life of the business organization to an end. After the time of dissolution decision, the partnership will go through a process known as liquidation/winding up. Throughout the liquidation process the business organization maintains its legal personality. Only at the end of liquidation will the organization lose its legal personality upon cancellation from the commercial register as provided in Article 182. Thus, liquidation ranges from the moment the dissolution is affirmed up to cancellation from registration.

##### **6.4.1 Grounds for Dissolution of business organizations. Art 181**

- The purpose has been achieved or cannot be achieved
- Expiry of term fixed, unless the members agree to continue
- A court decides to dissolve the business organization for good cause
- A court declares the business organization bankrupt;
- Members agree to dissolve the business organization, at any time;

Those grounds can be grouped into three categories

- 1) Dissolution by operation of law
- 2) Dissolution by court and
- 3) Dissolution by agreement of partners.

**6.4.2 Liquidation**

Liquidation is the process of administration of the business until final payment to creditors and distribution of surplus to members, the completion of which would result in cancellation from the commercial register. The liquidation process cannot be managed by the normal time managers but by liquidators. The last business of liquidators is having the partnership cancelled from the registration kept in the commercial registry (Article 182).

## CHAPTER SEVEN: GENERAL PARTNERSHIP

Compared to companies partnerships are treated as collection of persons than as collection of capital; relatively flexible management design, relatively restricted freedom of transfer of interests, ***fragile existence/numerous grounds of dissolution***, and the likes.

### 7.1 Nature of General Partnership

The general partnership is the prototype of partnerships.

*General Partnership is a business organization **consisting of partners** who are each jointly and severally liable with the partnership itself for the obligations of the partnership. Any agreement to the contrary may not be invoked against third parties. Art 183*

Beyond the general attributes a general partnership shares as a business organization, the essence and unique attribute of general partnership indicated in this definition pertains to liability of partners. Joint and several liability of partners is the very essence and universally accepted attribute of general partnership.

### 7.2 Formation of General Partnership

The formation of partnerships is relatively simple compared to companies.

#### 7.2.1 Memorandum of Association

Article 172 provides that all business organizations are formed by document called a memorandum of association.

The revised Commercial Code is mute on the treatment of '**the status of partners**'<sup>15</sup> in general partnership. Apart from the eligibility or otherwise of natural persons, one may wonder whether if legal persons such as share companies or other partnerships may be partners to a general partnership. Ethiopian law is mute on the on eligibility or otherwise of legal persons. Yet, the provisions here and there suggest the legislature had in mind only natural persons as the only eligible partners in general partnership. A case for this may be made from the rules regarding dissolution of the partnership. Article 205 talks about the death or incapacity of a partner as grounds of dissolution, and it nowhere mentions dissolution of a partner business organization as grounds of dissolution.

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<sup>15</sup> Whether the partner needs to be a trader or have trader status.

For instance the 1960 Commercial Code, Article 280(2) reads as "where the partnership is a commercial partnership, each partner shall have the status of a trader."

### 7.2.3 The Business Purpose of the Partnership

The memorandum of association must indicate the business sector in which the partnership will operate. Undertaking activities that fall out of the scope of business purpose as specified in the memorandum of association lacks legitimacy and are deemed ultra-vires. The scope of business purpose also which indirectly limits the power of the manager, and could be raised as a defense against third parties in that the manager does not have power to bind the partnership, a fact which the third parties should have known.

### 7.2.4 Contributions from Partners: Nature and Amount

Each partner must make a contribution. The nature of contribution could be anything of economic value. may be in the form of cash, movable or immovable property, intellectual property (trademark, goodwill, patent, copyright), skill, lease right, usufruct or other contributions such as a business (Art.108 ff).

#### 1. Amount of contribution

The law does not fix minimum contribution from each nor does it set the minimum capital for the partnership. But the amount of contributions should normally enable the partnership to carry out its business purpose. Contributions from each of partners shall be equal but it is possible to agree for differentiated amount of contributions<sup>16</sup>. Thus, the partners' contributions may be of unequal value.

#### 2. Guarantees and risks

In general, contributions can be anything of value. Those who contributed in kind are subject to rules of guarantee, potential overvaluations should be adjusted when discovered, and risks must go with ownership.

A partner who has contributed a debt shall have the same obligation as a debtor under the contract of loan provisions of the Civil Code.

### 7.2.5 Name of the Partnership

As a legal person, a general partnership shall have its own name, a name that identifies it as a person. The name shall consist of the names of all or at least two of the partners followed by the words "General partnership". See art 184

**Estoppel** is a legal principle that prevents a person from denying or contradicting a claim or fact that they have previously presented as the truth. It is used to prevent someone from arguing something contrary to a claim they previously made.

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<sup>16</sup> Article 186(3)

A non-partner should not allow the use of his name in the partnership name. where a person knowingly fails to object to the use of his name, he shall be liable for the obligations of the partnership as if he is a partner. This is called “**partnership by estoppel.**”

### **7.2.6 Registration and Acquisition of Legal personality**

All business organizations in Ethiopia, except joint venture, should submit a memorandum of association and get registered with the appropriate authority to get legal personality.

## **7.3 Management of General Partnership**

### **7.3.1 Designated Manager**

According to Article 198, a general partnership shall be managed by one or more managers who may or may not be partners. The memorandum of association is supposed to designate the manager(s) of the partnership along with the powers and duties of the manager. Where the memorandum of association does not designate a manager, a later decision by the partners must specify who the manager(s) are, see art 203/2.

### **7.3.2 Powers of the Manager**

In principle, the manager shall have the power to carry out all lawful acts in order to achieve the business purpose of the partnership. The test for the scope of the power is whether the activities and transactions of the manager fall within the objects of the partnership. The partners may restrict the power of the manager; to narrow down the authority that the default rules of the law confer on him.

### **7.3.3 Duties of the Manager**

Where the manager uses the partnership's name but diverts opportunities to him-self, the partnership shall be bound and liable to third parties who dealt with him in good faith. But where it is proved that the third parties were aware of the improper use of the partnership name by the manager, it is only against the manager that such third parties may resort (Article 200.)

The Manager should avoid conflict of interest and he should avoid competition.

## **7.4 Rights and Duties of Partners**

Art. 190 summarized the rights of partners

### **7.4.1.1 Pecuniary Interests of Partners**

The share of profits and loss among the partners should be as determined by the memorandum of association. However, if the memorandum of association overlooked the issue of profit and loss

allocation, the default rule shall be equal share for all the partners. This holds true even if the contribution of partners is unequal. There is no presumption of allocation of profits and losses based on proportion of amount of contributions from partners. See art 192/1

Where the partnership is dissolved, its assets shall be distributed to creditors and then to the partners where there is a surplus after all claims have been settled. See art 210

The partners who contributed the use of property shall take it back upon dissolution. A partner who contributed the ownership of property does not have the right to claim it back upon dissolution. Rather such a partner will be compensated the monetary value of the property as at the time of contribution, not its value at dissolution.

The distribution of surplus shall be made in equal shares among the partners in the absence of specified proportion in the memorandum of association. See art 211

### **Appointment and dismissal of a manager**

A manager who is not a partner but appointed in the memorandum of association or its amendments or by a later decision of partners could be dismissal by majority vote of the partners. See art 203/2

Dismissal of “a partner appointed as a manager in the memorandum of association or in an amendment thereto may be dismissed only in accordance with the rules that apply to the approval or amendment of the memorandum.” Art 203/1

The approval or amendment of the memorandum association normally requires “the consent of all the partners. But it is possible for the memorandum to set rules that allow its amendment by a majority vote of the partners. Art 204

Acts of management does not include disposal or mortgage of an immovable property of the business or sale, hire or pledge of the partnership business itself. These are special acts that require express authorization (Article 34).

The decision-making procedures are articulated in Article 204.

Each partner shall have equal vote regardless of the amount of contribution. Yet it is possible to incorporate an agreement otherwise in the memorandum of association so that the weight of each partner’s vote shall be proportional to the amount of contributions made. See Art 204/3

### 7.4.2 Obligations of Partners

Art. 191 summarized the obligations of the partners.

As per art 189, A partner who fails to make a contribution in due time shall be liable to pay interest or penalty to the partnership from the date he should have made the contribution.

## 7.5 Relation among Partners and With Third Parties

### 7.5.1 Transferability of Shares in Partnership

Partnership requires the personal due diligence and care of partners for the success of the business. The introduction of a new member might result in undesired consequences. Thus, the transferability of shares in partnerships needs to be carefully regulated.

#### 1. Transfer of Beneficial Interests and Rights in a Share to Third Party

As per art 197, the transferee does acquire limited rights as opposed to the rights of the transferor. Transfer of beneficial interest to the transferee shall not vest the transferee the status of a partner. In particular, he shall not have control rights (*right to the management or administration of the partnership*) that his assignor could have but to pecuniary interests

#### 2. Transfer of Shares to Another Partner

Intra-partners transfer of shares is unconstrained in principle save a contrary provision in the memorandum of association. Transfer of shares embodies the transfer of both pecuniary rights and control rights of a partnership. See Art 194

#### 3. Transfer of Shares to non-partners

Transfer of shares to non-partners is subject to strict regulation. In principle, the unanimous consent of the partners is required to transfer one's share and admit an outsider into the partnership but a contrary provision in the memorandum of association may mitigate the effect of such a default provision. Art 193

A partner who desires to leave the partnership, should be paid and leave partnership. The amount of pay outs shall be fixed by the agreement of the partners, disagreements leading to judicial litigation.

The departing partner shall remain liable jointly and severally with the partners for the debts and liabilities incurred by the partnership before his departure. The liability may be transferred to a substitute partner, where the withdrawal is effected via transfer to a new partner, provided the creditors of the partnership gave their consent to that effect. Art 195/1

### 7.5.2 Relation of partners with the partnership and third parties

The partnership shall be liable to third parties who dealt with the manager in good faith even where the manager acts in the name of the partnership but for his own benefit, save exceptions where third parties were aware of the improper use of the partnership name by the manager. Art 200

### 7.6 Dissolution and Liquidation of General Partnership

Articles 205 ff. of the Commercial Code deals with dissolution and winding-up of partnerships. Once dissolution is set in motion it has to go through the process of liquidation. The liquidation process ranges from the moment the ground for dissolution is affirmed up to cancellation from registration.

#### 7.6.1 Grounds for Dissolution

GP may be dissolved due to the general grounds of dissolution of business organization as per art 181;

- The purpose has been achieved or cannot be achieved;
- Expiry of term fixed, unless the members agree to continue
- Members, at any time, agree to dissolve the business organization;
- A court declares the business organization bankrupt;
- A court decides to dissolve the business organization for good cause

**Without prejudice to the art 181 a partnership may be dissolved on one of the following grounds (art 205/1):**

- a. where a partnership is established for an undefined period or for the life of one of the partners, or the right to dissolve on notice is provided in the memorandum of association, every partner may bring about its dissolution by giving in good faith six months advance notice;
- b. A partner is incapable of carrying out his duties in the partnership due to infirmity or illness or any other reason;
- c. A disagreement occurs among the partners precluding them from acting together;
- d. A partner dies or is declared bankrupt by the court or loses legal capacity to be a partner;
- e. Where the personal creditors of a partner cause his entire share to be disposed of or the remaining partners do not agree to his continuation as a partner with the remainder of his share.

**Art 205(2)/ Notwithstanding art 205/1 the partnership may continue to exist where:**

- a. A partner gives notice to dissolve and the remaining partners pay out his share to such partner and agree to continue the partnership as between them; or

- b. The remaining partners agree to continue the partnership by paying out the share of the deceased partner to his heirs or tutor of the incapable partner or trustee of the bankrupt partner.

### 7.6.2 Liquidation

Liquidation is the process of administration of the business until final payment to creditors and distribution of surplus to partners. The liquidation process cannot be managed by the normal time managers but by liquidators.

#### Article 208: Powers and Duties of Liquidators

- a. Completion of business already started;
  - b. Drawing up an **inventory of the assets and liabilities** (የሀብትና ዕዳ መግለጫ) of the partnership;
  - c. Collection of the assets of the partnership, selling its property, paying the creditors of the partnership from the assets of the partnership or, where necessary, calling upon the partners for contributions;
  - d. Representing the partnership in judicial, administrative, or arbitral proceedings;
  - e. Distribution of the assets of the partnership to the partners;
  - f. Carrying out other acts necessary for the winding up of the partnership
- ✚ The liquidators need to return the contributions the partners made to the partnership, and any surplus shall be distributed equally absent contrary agreement in the memorandum
  - ✚ The last business of liquidators is having the partnership cancelled from the registration kept in the commercial registry. Art 182

**CHAPTER EIGHT:****LIMITED PARTNERSHIP/ሁለት ዓይነት ኃላፊነት ያለበት የሽርክ ማህበር****8.1. Nature of Limited Partnership**

A limited partnership comprises partners with different types of liability: **general partners** who are in full liable jointly and severally with the partnership itself for the obligations of the partnership **and limited partners** who are liable for the obligations of the partnership only to the extent of their pledged contributions.<sup>17</sup> The general partners are situated in similar position to partners in general partnership (Article 216(1)) with respect to their rights and duties.

There is dual class of partners where some have unlimited liability while others have limited liability.

Limited partners may not act as managers.

**8.2. Formation of Limited Partnership**

Like a GP, a LP shall be established through a MoA that shall contain similar details as that of the GP plus a specification of who are general partners and limited partners (Art 214). The name of the partnership shall consist of the names of at least two general partners followed by the words “Limited Partnership”. Limited partner should not allow his name to be included in the firm- name. Where he allows it, he shall be liable jointly and severally with the partnership itself for obligations emanating from the undertakings of the partnership with third parties in good faith as though he were a general partner.

**8.3. Contributions of partners art 215**

Contributions in general partnership is applicable for LP arts 186-189.

An exception required by the very unique feature of limited partnership is that “limited partners may not make contribution in the form of skill” while the general partners can (Article 215(2)).

**The Rational** is the fact that limited partners remain liable to creditors of a limited partnership to the extent of their unpaid contributions (218(1)). As such, where the partnership defaults, it is not feasible to collect services expected of limited partners.

**8.4. Management of Limited Partnership**

A limited partnership shall be managed by one or more managers who may or may not be partners (Article 198 cum 220). Limited partners may not be managers.

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<sup>17</sup> Art 212

Absent provision otherwise for amendment of the memorandum, a general partner appointed as a manager in the memorandum of association or in an amendment thereto may be dismissed only upon unanimous consent of both limited and general partners. However,

A manager may be dismissed by the court at any time but only for good cause that includes dishonesty or incompetence. Appointment or dismissal of a manager appointed other than in the memorandum may be effected by a majority vote of the partners (Article 203 cum 220)

#### **8.5. Participation of partners in matters beyond the powers of the manager**

Matters that go beyond the powers of the managers, particularly matters affecting memorandum of association, require unanimous consent of both limited and general partners absent otherwise provision in the memorandum. Each partner, whether general or limited shall have equal vote unless the memorandum of association stipulates for voting weight proportionate to partners' contribution.

#### **8.6 Obligations of General Partners and Limited Partners**

Unlike general partners who must refrain from acts that might potentially create conflict of interest, the limited partners are exempted from such restriction. Article 217, regarding conflict of interest, singled out general partners and provided that:

*Unless approved by the other partners, no general partner may carry out transactions, on behalf of a third party or on his own behalf, which are related to business carried on by his firm, nor may he be a partner with joint and several liability in another firm carrying on similar business.*

#### **8.7. Transfer of Shares art 219**

Shares may not be transferred to third parties except with the consent of all general partners and majority of the limited partners.

#### **8.8. Dissolution and Winding up of Limited partnership**

Grounds for dissolution, arts 181 and 205 with necessary changes and the provisions of Article 187-211 of this Code shall apply to a limited partnership as appropriate

## CHAPTER NINE: LIMITED LIABILITY PARTNERSHIP

Limited liability partnership is a new introduction to the Ethiopian law of business organizations. Organizations (by new code).

### 9.1. The Nature of Limited Liability Partnership (LLP)

LLP is a business organization formed by two or more persons to render **Professional Service** and services complementary thereto in which the liability of partners is limited to the amount of their contributions (Article 221(1))”.

*LLP is a partnership that offers the benefit of limited liability for all partners.*

Only professionals licensed by an appropriate organ to provide professional service or limited liability partnerships which render a service that is similar or related to the one rendered by the partnership may become partners.”

### 9.2. The Formation of Limited Liability Partnership (LLP)

An LLP shall be established through a MoA that shall contain similar details as that of the general partnership under Article 185 plus each partner’s license number and the type of his profession (Article 225).

The provisions governing contributions of the partners in the case of GP shall apply mutatis mutandis to LLP (226 cum 186). Partners may contribute anything of economic value including skill.

*Recognition of skill as a valid contribution is not the case in other business organizations where a partner enjoys the benefit of limited liability but it is allowed for LLP. Indeed, a person without the required skill proven by a license of competence, no matter how significant investment he is willing to contribute, cannot be a member of an LLP.*

Article 222 underscored the distinct legal personality of the LLP separate from that of the partners, a legal personality unaffected by the death, bankruptcy, departure from the partnership or any other fact affecting the partners.

### 9.3. Liability of Partners

The partnership alone shall be liable for any obligation except whether arising out of contract or other grounds. Save exception, Art 228 Sub-Article (1) and (2):-

- 1) Where a partner or an employee of the partnership intentionally, fraudulently or negligently commits fault or causes damage, in the course of carrying out the activities of the partnership, the

partnership shall be jointly and severally, and without limit, liable with such partner or employee who causes the fault or damage. *The other partners are immune from liabilities*

- 2) The partnership shall be relieved from liability where the injured party knew of the fact that the partner or employee who caused damage was not authorized to carry out the undertaking.

The evolution of LLP that offers partners benefit from limited liability puts creditors at disadvantage. LLPs as professional partnerships may not have more assets than their partners' skills. Thus, the law must strike a balance, for which the requirement of liability insurance is indispensably attached to LLPs as depicted in Art 228(4).

#### **9.4. The Impact of Departure of a Partner on the Partnership art 229**

A partner shall leave the partnership at his own will subject to a three months advance notice, unless a provision is otherwise included in the memorandum of association. Of course, the provision otherwise may not compel a partner to stay there but only prolong the notice period. This is due to the very nature of the partnership as it requires provision of service which affects personal liberty of a partner if he is to be compelled.

#### **Grounds for Departure of a Partner from Partnership read art 229(1)**

The consequence of withdrawal of a partner at will or due to compelling circumstances results in paying out the cash value of his share to himself or the person entitled to receive the share. Third parties so entitled shall not become a partner in lieu of the partner who died or left the partnership (Article 230). A leaving partner or his estate shall remain liable for debts and liabilities incurred prior to his leaving (Article 229(3)).

Partners must avoid any possibility of conflict of interest with the LLP for their own sake or on behalf of third parties.

Article 233 makes a cross reference to the applicability of Articles 187-211 subject to the mutatis mutandis clause.

#### **9.5. Dissolution of LLP**

Art 232 cum 181

In LLP the death, bankruptcy or incapacity of partners is not grounds for dissolution LLP.



## CHAPTER TEN: JOINT VENTURE

### 10.1 Nature of Joint Venture in General

JV is a business organization established by an agreement among two or more persons. It has no legal personality and its existence is unknown to third parties. Registration formalities required of other business organizations do not apply to a joint venture”.

JV lacks some of the essential attributes of business organizations including legal personality: it does not have a name, lacks the right to act via agents on its behalf, cannot acquire rights or incur liabilities in its own name, may not own property in its name, etc.

Joint venture is often perceived suitable to exploit opportunities of temporal nature that necessitates cooperation and contribution of complementary capabilities.

#### *Joint Venture may be named as Undeclared Partnership*

A joint venture is not known to third parties does mean it is a secret that so single individual other than the partners should know about the existence of a venture.

Where a joint venture is made known to third parties, it shall, as of such date, be regarded, insofar as such parties are concerned, as a general partnership. Art 235

### 10.2 Formation of Joint Venture

With respect to formation, business organizations are established through a memorandum of association/an establishment document but a joint venture is established by joint venture agreement- a partnership agreement. Such an agreement need not follow any particular form; it could be written or oral or implied. Even where it is a written one, it is not required to go through authentication and registration process.

### 10.3 Contributions

In principle, the provisions concerning contributions in general partnership (Article 186) shall apply to a joint venture. Unless otherwise agreed, every partner owns his contribution (Article 236(2)) because joint venture lacks legal personality and hence cannot own property its own name.

### 10.4 Management of Joint Venture

A joint venture shall be managed by one or more managers who need not be partners, and where no manager is appointed, all the partners shall have the powers of managers.

In line with the flexibility in the formation of joint venture, in which a mere agreement among partners suffices to establish the partnership, the management of joint venture is the most flexible of management designs of partnerships. In all other partnerships, there has to be a designated manager (who may be partner or non-partner). But that is not required in joint venture; all the partners shall have the powers of managers where a manager is not appointed.

The joint venture agreement among the partners is supposed to specify the powers and duties of the manager of a joint venture (Article 239). Where it fails to do so, the scope of powers and duties of the managers should be guided by the general rule that the manager shall have the power to carry out all lawful acts in order to achieve the business purpose of the firm (Article 199).

The joint venture agreement among the partners may restrict this general scope of the powers of the manager. But, unlike the case in general partnership, such agreements may not be invoked against third parties in any case (Art 239), the rationale is that joint venture agreements may not be entered in the commercial register.

### **10.5 Dissolution of joint venture**

The dissolution of a joint venture is subject to the general provisions governing the grounds for dissolution of business organizations (art 181) and (Art 242).

#### **Active Partner and Silent Partners in Context of a Joint Venture**

Active Partner is a one who is a partner and manager of the venture. Whereas, Silent Partners are those who are no engaged in management and they are unknown to the third part.

## CHAPTER ELEVEN: INTRODUCTION TO SHARE COMPANY

The concept of share company can be gleaned in terms of the following five features: “legal personality; limited liability; transferable shares; delegated management under a board structure; and investor ownership.” **Share Company** is also called **Public Company**

Share Company has a legal personality separate from its members. This confers it a perpetual existence in the context of large and fluctuating membership.

The liability of the members is limited to their contribution. If the company goes bankrupt, the liability of its shareholders is limited to the amount of unpaid contribution they owe to the company, if any.

Issuance of transferable shares; It permits the company to continue conducting its business though the identity of its owners' changes.

The quality of delegated management entitles the board of directors' principal authority over corporate affairs. Fundamental business management decisions of the company are bestowed to this important governance structure which in general terms results in the separation of control from ownership of the company.

*A share company is a company whose capital is fixed in advance and divided into shares and whose liabilities are met only by the assets of the company. Art 245/*

Three important points are critical in the definition: **fixed capital; shares and liability**. The capital shall be fixed in advance. Share is fractions of the capital

### 11.4. Basic Features of Share Company

#### 1. Distinct legal personality

It is an attribute that entitles companies rights and obligations distinct from its members. In context of Ethiopia BOs law legal personality is not peculiar to share company, since with the exceptions of Joint Venture, all partnerships and private limited companies acquire legal personality through registration. However, their personality is not solid and distinct that survives irrespective of personality of its members. Since, the personality of partnerships is dependent on the personality of its members.

Once they made the contribution, shareholders cease to be owners of the contributed cash or property.

## 2. Limited liability

## 3. Issuance and Transferability of securities

An issues transferable security is one of basic features of SC. The transferable securities are shares and debentures (የዕዳ ሰነዶች). Shares constitute an intangible property owned by the shareholder in exchange for its contribution to the capital of the company.

One of the basic natures of Share Company is the free transferability of its shares. However, the memorandum of association or resolution of extraordinary general meeting of shareholders may impose restrictions on the free transferability of shares. One instance of such restrictions can be subjecting the share transfer to the consent of the board of directors.<sup>18</sup> However, the restriction of board approval can't be exercised freely. The board can constrain the transfer of shares on the bases of the following limits. The transfer can be restricted by it if the pre-emption right is reserved in the memorandum of association, resolution or the law to company or shareholders. In

Debenture is a transferable document that evidences intangible proprietary interest to the creditor of the company, debenture holder. Art 407

## 4. Delegated Management

SC has a separate legal structure for its management which is ***The Board of Directors***. Art 296ff

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<sup>18</sup> Article 276(1) & (2)/

## CHAPTER 12: FORMATION OF SHARE COMPANY

### 12.1. Common formation Conditions

A share company can be formed as ***Between Founders*** or ***Through Public Subscription*** of shares.

In the first mode, the founders undertake the choice of the business idea, feasibility studies and organize the formation and operation of the company. They are the initiators, incorporators and shareholders of the company. The whole share capital of the company is subscribed by themselves.

The second mode of formation involves the invitation of the general public to subscribe for shares. In this case the formation is undertaken by promoters. Formation through public subscription of shares is important for mobilizing massive capital for large business like bank and insurance.

#### 1. Minimum Number of Members

The formation of Share Company needs at least five members.

For example, A, B, C, D and E wanted to form a company as between themselves. They agreed the total capital of the company to be 100,000 birr and divided it into 1000 shares with 100-birr par value of share. A subscribed 996 shares whereas B, C, D and E subscribed each one share. Can we say that the company can be validly formed? Yes of course. See art 292/1

#### 2. Capital

##### I. Minimum Initial capital

The minimum capital for the formation of share company cannot be less than 50, 000 ETB. However, some special laws provide a higher amount of minimum initial capital. For example, the minimum capital required to constitute a bank is five billion Ethiopian Birr.

This compulsory requirement of minimum capital can be considered as dues that are paid by shareholders for receiving the privilege of limited liability. This minimum capital is meant to safeguard the creditors of the company against thin capitalization. However, owing to inflation, devaluation and other factors the stipulated minimum capital too little to operate business in the form of Share Company.

##### II. Full Subscription of Capital

The capital of the company must be fully subscribed. Art 254/1(a)

**III. Payment of at least a quarter ( $\frac{1}{4}$ ) of the par value of cash shares**

Paid up capital refers the amount of subscribed capital of the company that must be paid as a precondition for formation.

The Code prescribed that at least  $\frac{1}{4}$ th of cash shares be paid and deposited in a blocked bank account opened in the name of the company under formation. It is clear that the memorandum of association may even provide full payment of cash shares for the formation of company. Special laws may provide a higher or lower mandatory minimum paid up capital in relation with special categories of share companies. For example, formation of banking Share Company requires at least five hundred million birrs paid up capital.

The paid capital should be deposited in blocked bank account opened in the name of the company to ensure the safety of capital from exploitation. The deposited sum can't be withdrawn before the formation of the company unless the company failed to be formed within the period specified in the prospectus in case of formation through public subscription or agreed period in case of formation as between founders.

**IV. In kind Contribution: extent of payment, Validity, Usefulness and submission of valuation report**

Kind shares are intended to be fully paid before the formation of the company. This can be inferred from the combined reading of Articles 281 and 282(1) Article 281(2) provided a maximum of five years duration for the payment of unpaid capital in the case of cash shares.

In Share Company skill is not a valid contribution (art 256). In the case of banking and insurance share companies, all in kind contributions are not acceptable let alone skill since it is only cash that is valid form of contribution. Read art 257, valuation of in kind contribution

✚ Land can't be valid contribution in kind because the Constitution prohibits private ownership of land

**3. Firm Name**

It is mandatory for SC to have a name for its establishment. The name shall be followed by the term "Share Company" for the purpose of giving warning to third parties regarding the nature of the business organization. Art 246

**4. Memorandum of Association**

MoA is a contract concluded or adopted by the initial members to conduct business in the form of Share Company. However, who it binds? It binds the r/ship between the company and members and also among the members themselves. For instance, the company claims from the members if there is unpaid capital

based on the memorandum and articles of association. The members equally can claim different rights from the company such as distribution of dividends on the bases of these documents. Members can also claim from another member the right of preemption on the transfers of shares if the documents provide so. Read Articles 276(1), 281 & 289.

All contents of the memorandum are not equally material to affect the validity of formation albeit the law doesn't deal with this in a clear manner.

## 5. Authentication of MoA

## 6. Registration

It's the last formation requirement. The company acquires its legal personality upon registration in the commercial register. An application for registration of Share Company can be made by the promoters or founders of the company depending on the manner of formation. The application shall be made at the place where the company is going to have its head quarter.

**With registration and issuance of the certificate of registration the company acquires:** its legal personality. It enjoys and exercises rights for the attainment of its business purpose as stipulated in the memorandum of association. The payments out of cash shares deposited in blocked bank account would be allowed to be used by the company. Transfer of ownership of in-kind contribution that needs formalities like registration and issuance of title deed must be carried out to the company. In general, the company begins to be the subject of the law as juristic person.

Where Non-compliance with the formation requirements is found after the registration of the company in the commercial register and acquisition of its legal personality it doesn't result in dissolution of the company in principle. However, exceptionally, the court may decide dissolution of the company or take corrective measures if the non-compliance endangers the interest of the creditors or shareholders. Art 266. The application for dissolution or corrective measures must be lodged within one year from the registration of the company in the commercial register.

## 12.2. Specific Conditions for Formation through Public Subscription

### 1. Prospectus/ የማህበሩ መግለጫ/ Art 259

A prospectus is addressed to the general public. Accordingly, it seems that it is an invitation to offer rather than offer.

## 2. Formation Audit Report, art 261

Auditing the fulfillment of formation requirements and submission of the audit report to meeting of subscribers is the other additional requirement for formation of Share Company through public subscription of shares.

The objective of this compliance audit is to protect subscribers against the danger of mischief that may be done by the promoters in the formation of the company. If the report discloses the non-fulfillment of formation requirements, the law prohibits the registration of the company, art 261(4)

## 3. Meeting of Subscribers

The last formation condition specific to formation through public subscription of shares is the need to convene meeting of subscribers. Upon the completion of the audit report, the promoters are bound to call meeting of subscribers. The agendas of the meeting are verifying fulfillment of formation requirements, adopting the memorandum of association, approving reports by promoters and auditors, approval of valuation report of in-kind contribution, deciding the benefit allocated to promoters and appointment of the administering organs of the company. Art 263

### 12.3. Promoters

Promoters are persons responsible for the birth of the company.

- ***There shall be promoters only for formation of Share Company through public subscription of shares.***

Promoters initiate the business idea, develop it in the form of projects, and organize the company form to run the business. They perform acts like inducing the interest of others in promoting the company under formation, finding directors, shareholders and other investors, acquiring business assets for use by the new company, and negotiating business contracts on behalf of the new company.

#### 1. Criteria to become promoter

Any person who is convicted of breach of trust, theft, robbery, and other similar crimes while working in the capacity of director, promoter, manager, auditor, inspector or other similar positions is prohibited from acting as a promoter, Art 249. Formation audit report is a provided as a mechanism to verify whether the promoters satisfy the requirement, 261/2(a).

#### 2. Duties of promoters

They should undertake activities of formation in the interest of yet to be formed company. They are also obliged to report the formation activities of the company to meeting of subscribers. They are prohibited

from making any benefit out of the formation process of the company other than the payment from the net profit up to twenty percent for three years based on the memorandum of association.

### **3. Liabilities of promoters**

The law provides that promoters are jointly and severally liable for the claimants who can be the shareholders, contract creditors or other third parties. Art 250(1)

### **4. Remuneration of promoters, art 253**

“Promoters may...receive a share in the profit...”

Promoters' right to get benefit from the net profit is not unlimited. First, they can't reap for more than three years. Second, it can't exceed twenty percent of the net profit in the balance sheet. Third, it is the only advantage to promoters with their status which has to be paid in cash and can't be paid in the form of issuance of shares.

### **12.4 Founders, Art 252**

Unlike promoters, founders are necessarily shareholders of the company. They are persons who have close friendship or family relations who want to undertake business in the form of Share Company.

### **12.5 Pre-formation Contracts**

Does the promoter can avoid being held personally liable to contracts they entered into with third parties by the pre-formation contracts despite the company did not exist at the time such contracts were concluded on its behalf? There are two situations

- A. The scope of transfer of liability from the promoter to the company for pre-formation contracts and expenses is limited to the contracts and expenses shall be “necessary for formation of the company” See art 251/1. The burden of proof to show whether the contracts and expenses were necessary for the formation of the company to the satisfaction of the meeting of subscribers lies on the promoters.
- B. Even if the pre-formation contracts and expenses concluded or incurred by the promoters were not necessary for the formation of the company, the company can still take over the contracts or reimburse the expenses if the meeting of subscribers approves.’

✚ **What do you think are the reasons to fix the minimum number of shareholders for the formation of a share company?**

**Chapter 13: FINANCING SHARE COMPANY**

Mobilizing the necessary finance is important to turn the business objectives of the company into operation.

**13.1. Types of Financing**

The sources of company financing can be broadly typified into two; *Equity* and *Debt Financing*. According to the Ethiopian company law it is mandatory for a company to mobilize some of its finance from equity while it is allowed to disregard debt financing altogether.

**1. Equity Financing**

Equity financing is financing of a share company through issuing and selling shares to individuals or the public. The laws provided different amount of minimum capital requirement for the formation of companies depending on their natures. Above this minimum required capital, it is up to the higher officers of the company to decide how to further finance their company.

The general minimum capital required to establish and operate Share Company is 50,000 Ethiopia birrs. This is mandatory and must be raised from contribution collected from selling of shares to at least five persons. If operating the business purposes of the company requires beyond this amount of fund, the promoters or founders have the flexibility to look for debt financing rather than fully relaying on equity financing.

The cost of equity finance is granting different bundle of rights for the shareholders that enables them to control the company and receive different financial benefits. If the members of company or founders don't want to lose their control in the company, they may prefer debt financing provided that it is available with relatively favorable terms.

**2. Debt financing**

Debt financing involves raising money from lenders with the instrument of contract of loan. Debt financing may take the form of simple loan contracts or debentures. Debt financiers are creditors of the company.

**3. Hybrid financing**

It is an approach of raising the finance of the company through the combination of equity, debt and other sources (like, leasing equipment).

### 13.2. Share

Shareholders make contributions in exchange for shares which is described as equity finance of the company. Share is an intangible property which entitles its owner some rights in the company but not in its assets.

The price of share shall not be less than the par value of share i.e. 100 ETB. The basic reason behind the prohibition of allotting shares with a price lower than par value is to maintain the capital of the company.

#### 13.2.1. classes of shares

##### **Different possible classes of shares as implicated in the Commercial Code;**

In principle all shares of a company carries same rights and duties to shareholders. However, as per art 278/1 the memorandum of association can clearly stipulates classes of shares with varied rights.

Enhancing the marketability of shares with a view to mobilize the necessary adequate capital can be one of the rationales to install provisions that militate against the principle.

#### **1. Ordinary**

#### **shares**

Ordinary shares refer to the residuary class that carries rights to dividends and capital payments can only be asserted once the rights of preference shareholders have been satisfied. If the preferential shareholders are given priority right in the profit, surplus or subscription of future issues, the ordinary shareholders exercise their respective rights on the remaining parts, if any. If some shares have preferences in the dividend of the company based on the memorandum of association and if all the profit is used to pay them, ordinary shareholders end up with no payment. In this sense ordinary shareholders bear the lion's share of the business risk, since they may take the bulk of the company's profits in good years, but receive nothing in bad ones.

#### **2. Preferential shares**

Shares having priority over the ordinary shares concerning right of subscription in the event of future issues, over net profits, repayment of contributions or surplus of assets in the event of winding up constitute preference shares. Art 279/1

Preferential shares are a creation of the memorandum of association and their exact nature should be clearly determined by it. Issuance of preference shares in later stages is prohibited by Article 453. Such as where there is issuance of shares to increase capital.

### **3. Dividend Shares**

Dividend shares are a class of shares the company agreed to purchase back within definite period of time. Company laws allow redemption and shares repurchase by the issuing company.

The single condition provided in Article 280(1) of the Commercial Code is that the redemption price should be paid from net profit or reserve funds. It is prohibited to repay the price from the capital of the company.

Once the redemption occurs, the company purchases back the shares; the shareholder will be given dividend shares as a substitute and evidence of the transaction.

#### **13.2.2. Forms of share**

It requires all shares to be registered in the name of the shareholder in the register of shareholders.

#### **13.2.3. Share Registration, 274**

It is mandatory for every share company to organize and keep register of shares. Needs to contain information about the names and address of shareholders, number and numeration of their shares, amount of share price paid, the date of entry of the shareholder in the registers.

Article 274 don't mention entry in the sharer register as condition for membership, the nature of information that need to be filled in the register seems imply it as a condition. However, the Federal Supreme Court Cassation Bench in relation with transfer of shares with contract of sale has decided that the transferee become a shareholder if and only if the transfer is registered in register of shares and approved by the ordinary general meeting of shareholders.<sup>19</sup> Hence, registration of shares and shareholders in the share register is a precondition for membership in a share company.

#### **13.2.4. Issuance of share**

##### **1. Time of issuance**

The Commercial Code prohibits the issuance of share certificates before the registration of the company in the commercial register. Art 269

Share is share issued in paper certificates and that is not possible to transfer the rights from shares separately from the document (art 283). Registered share certificates presumed to be owned by the person in whose name the shares are registered in share register. They can only be transferred by the delivery of the certificate and registration of the transferee and particulars of the transaction on the share register.

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<sup>19</sup> C/F/No. 139385, Vol. 22

Unlike the old code the revised code does not acknowledge the bearer form share. A bearer instrument share issued prior to the passing of revised code shall be transferred by mere delivery of the document evidencing such share (284/1).

## 2. Rights

Article 292 entitles minority shareholders the right to sell out their shares when 90 percent or more of the shares are controlled by one shareholder. They can exit from the company by making a request to sell for the majority shareholder. If they cannot agree on the price of sell out, the court appoints an expert to determine it.

Shareholders have the right of pre-emption on the event of issuance of new shares by the operation of the law<sup>20</sup> or on the transfer of existing shares by the operation of the memorandum of association or extraordinary meeting of shareholders resolution.<sup>21</sup>

The principle of this pre-emptive right can be limited in the case of conversion of debentures in to shares on the bases on the resolution that set renunciation of the right upon issuance of convertible debentures. The pre-emptive right also suffers an exception if the board justifies the same to the extraordinary meeting of shareholders and the latter accepts the avoidance of the right. Arts 451 & 452

## Decisive Shareholders/ ወሳኝ ድምፅ ያለው ባለአክሲዮን (art 295)

Shareholder can be considered decisive if the amount of his shareholding in the capital of the company enables him to approve or reject a resolution over a certain agenda. Here if the shareholder owns more than 3/4 of the capital of voting share, she can be a controlling shareholder on important corporate issues save for some like change of corporate nationality and its business purpose.

Decisive shareholders bound to avoid intentional committing unlawful acts which jeopardize the company, its shareholder or creditors. Decisive shareholders who committed these acts are jointly and severally liable with the company. See art 295

## 13.3. Debentures

Debt financing usually emanate from banks. However, this source of loan could be burdensome given its cost, interest as well as it may not be sufficient for a business person that wants to undertake large scale trade. Hence, collecting loan from the public directly with issuing debentures can be one option of mobilizing working finance of business. **As per art 407/1:**

<sup>20</sup> Articles 448-450

<sup>21</sup> Article 276(2).

*A debenture is a negotiable debt instrument whereby the issuing company undertakes to pay the debenture holder a fixed interest for a specified period of time and to repay him the principal loan upon the maturity date.*

A debenture is an intangible and indivisible property evidenced by debenture certificate. It can be sold or pledged by its owner. A debenture can only be issued by Share Company. Other business organizations are prohibited from issuing debenture.<sup>22</sup> This implies that it has an important feature of assisting collecting money from the general public.

### **Twin Preconditions for the Issuance of Debenture (Article 408)**

#### **1. The capital of the company should be fully paid.**

This implies that the company is expected to exhaust collection of its share purchase receivables from the members before mobilizing money from non-members. This sounds good given the doctrine of limited liability of shareholders; capital is an important security for the creditors of the company. Debenture holders being creditors of the company want to see their debt is supported by properly and full paid capital.

#### **2. The company must be in business for at least one year and has a balance sheet approved by the general meeting of shareholders.**

This requirement is very important so as to give some material information to persons who want to invest in debentures in relation with the financial status of the company. By having a look at the approved balance sheet, they can evaluate the creditworthiness of the company. If they feel the company would not be financially stable in the coming years, they can avoid subscription to debentures or they may seek an enhanced protection against the borrowing company.

In principle the maximum amount of issue of debentures must not exceed the amount of capital of the company. However, a company can issue debentures beyond its capital if it attaches collaterals mentioned under Article 409.

### **Chapter 14: left**

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<sup>22</sup> Articles 180 & 407ff

**Chapter 13: FINANCING SHARE COMPANY**

Mobilizing the necessary finance is important to turn the business objectives of the company into operation.

**13.1. Types of Financing**

The sources of company financing can be broadly typified into two; *Equity* and *Debt Financing*. According to the Ethiopian company law it is mandatory for a company to mobilize some of its finance from equity while it is allowed to disregard debt financing altogether.

**4. Equity Financing**

Equity financing is financing of a share company through issuing and selling shares to individuals or the public. The laws provided different amount of minimum capital requirement for the formation of companies depending on their natures. Above this minimum required capital, it is up to the higher officers of the company to decide how to further finance their company.

The general minimum capital required to establish and operate Share Company is 50,000 Ethiopia birrs. This is mandatory and must be raised from contribution collected from selling of shares to at least five persons. If operating the business purposes of the company requires beyond this amount of fund, the promoters or founders have the flexibility to look for debt financing rather than fully relaying on equity financing.

The cost of equity finance is granting different bundle of rights for the shareholders that enables them to control the company and receive different financial benefits. If the members of company or founders don't want to lose their control in the company, they may prefer debt financing provided that it is available with relatively favorable terms.

**5. Debt financing**

Debt financing involves raising money from lenders with the instrument of contract of loan. Debt financing may take the form of simple loan contracts or debentures. Debt financiers are creditors of the company.

**6. Hybrid financing**

It is an approach of raising the finance of the company through the combination of equity, debt and other sources (like, leasing equipment).

### 13.2. Share

Shareholders make contributions in exchange for shares which is described as equity finance of the company. Share is an intangible property which entitles its owner some rights in the company but not in its assets.

The price of share shall not be less than the par value of share i.e. 100 ETB. The basic reason behind the prohibition of allotting shares with a price lower than par value is to maintain the capital of the company.

#### 13.2.1. classes of shares

##### **Different possible classes of shares as implicated in the Commercial Code;**

In principle all shares of a company carries same rights and duties to shareholders. However, as per art 278/1 the memorandum of association can clearly stipulates classes of shares with varied rights.

Enhancing the marketability of shares with a view to mobilize the necessary adequate capital can be one of the rationales to install provisions that militate against the principle.

#### **4. Ordinary**

#### **shares**

Ordinary shares refer to the residuary class that carries rights to dividends and capital payments can only be asserted once the rights of preference shareholders have been satisfied. If the preferential shareholders are given priority right in the profit, surplus or subscription of future issues, the ordinary shareholders exercise their respective rights on the remaining parts, if any. If some shares have preferences in the dividend of the company based on the memorandum of association and if all the profit is used to pay them, ordinary shareholders end up with no payment. In this sense ordinary shareholders bear the lion's share of the business risk, since they may take the bulk of the company's profits in good years, but receive nothing in bad ones.

#### **5. Preferential shares**

Shares having priority over the ordinary shares concerning right of subscription in the event of future issues, over net profits, repayment of contributions or surplus of assets in the event of winding up constitute preference shares. Art 279/1

Preferential shares are a creation of the memorandum of association and their exact nature should be clearly determined by it. Issuance of preference shares in later stages is prohibited by Article 453. Such as where there is issuance of shares to increase capital.

### **6. Dividend Shares**

Dividend shares are a class of shares the company agreed to purchase back within definite period of time. Company laws allow redemption and shares repurchase by the issuing company.

The single condition provided in Article 280(1) of the Commercial Code is that the redemption price should be paid from net profit or reserve funds. It is prohibited to repay the price from the capital of the company.

Once the redemption occurs, the company purchases back the shares; the shareholder will be given dividend shares as a substitute and evidence of the transaction.

### **13.2.2. Forms of share**

It requires all shares to be registered in the name of the shareholder in the register of shareholders.

### **13.2.3. Share Registration, 274**

It is mandatory for every share company to organize and keep register of shares. Needs to contain information about the names and address of shareholders, number and numeration of their shares, amount of share price paid, the date of entry of the shareholder in the registers.

Article 274 don't mention entry in the sharer register as condition for membership, the nature of information that need to be filled in the register seems imply it as a condition. However, the Federal Supreme Court Cassation Bench in relation with transfer of shares with contract of sale has decided that the transferee become a shareholder if and only if the transfer is registered in register of shares and approved by the ordinary general meeting of shareholders.<sup>23</sup> Hence, registration of shares and shareholders in the share register is a precondition for membership in a share company.

### **13.2.4. Issuance of share**

#### **1. Time of issuance**

The Commercial Code prohibits the issuance of share certificates before the registration of the company in the commercial register. Art 269

Share is share issued in paper certificates and that is not possible to transfer the rights from shares separately from the document (art 283). Registered share certificates presumed to be owned by the person in whose name the shares are registered in share register. They can only be transferred by the delivery of the certificate and registration of the transferee and particulars of the transaction on the share register.

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<sup>23</sup> C/F/No. 139385, Vol. 22

Unlike the old code the revised code does not acknowledge the bearer form share. A bearer instrument share issued prior to the passing of revised code shall be transferred by mere delivery of the document evidencing such share (284/1).

## 2. Rights

Article 292 entitles minority shareholders the right to sell out their shares when 90 percent or more of the shares are controlled by one shareholder. They can exit from the company by making a request to sell for the majority shareholder. If they cannot agree on the price of sell out, the court appoints an expert to determine it.

Shareholders have the right of pre-emption on the event of issuance of new shares by the operation of the law<sup>24</sup> or on the transfer of existing shares by the operation of the memorandum of association or extraordinary meeting of shareholders resolution.<sup>25</sup>

The principle of this pre-emptive right can be limited in the case of conversion of debentures in to shares on the bases on the resolution that set renunciation of the right upon issuance of convertible debentures. The pre-emptive right also suffers an exception if the board justifies the same to the extraordinary meeting of shareholders and the latter accepts the avoidance of the right. Arts 451 & 452

## Decisive Shareholders/ ወሳኝ ድምፅ ያለው ባለአክሲዮን (art 295)

Shareholder can be considered decisive if the amount of his shareholding in the capital of the company enables him to approve or reject a resolution over a certain agenda. Here if the shareholder owns more than 3/4 of the capital of voting share, she can be a controlling shareholder on important corporate issues save for some like change of corporate nationality and its business purpose.

Decisive shareholders bound to avoid intentional committing unlawful acts which jeopardize the company, its shareholder or creditors. Decisive shareholders who committed these acts are jointly and severally liable with the company. See art 295

## 13.3. Debentures

Debt financing usually emanate from banks. However, this source of loan could be burdensome given its cost, interest as well as it may not be sufficient for a business person that wants to undertake large scale trade. Hence, collecting loan from the public directly with issuing debentures can be one option of mobilizing working finance of business. **As per art 407/1:**

<sup>24</sup> Articles 448-450

<sup>25</sup> Article 276(2).

*A debenture is a negotiable debt instrument whereby the issuing company undertakes to pay the debenture holder a fixed interest for a specified period of time and to repay him the principal loan upon the maturity date.*

A debenture is an intangible and indivisible property evidenced by debenture certificate. It can be sold or pledged by its owner. A debenture can only be issued by Share Company. Other business organizations are prohibited from issuing debenture.<sup>26</sup> This implies that it has an important feature of assisting collecting money from the general public.

### **Twin Preconditions for the Issuance of Debenture (Article 408)**

#### **3. The capital of the company should be fully paid.**

This implies that the company is expected to exhaust collection of its share purchase receivables from the members before mobilizing money from non-members. This sounds good given the doctrine of limited liability of shareholders; capital is an important security for the creditors of the company. Debenture holders being creditors of the company want to see their debt is supported by properly and full paid capital.

#### **4. The company must be in business for at least one year and has a balance sheet approved by the general meeting of shareholders.**

This requirement is very important so as to give some material information to persons who want to invest in debentures in relation with the financial status of the company. By having a look at the approved balance sheet, they can evaluate the creditworthiness of the company. If they feel the company would not be financially stable in the coming years, they can avoid subscription to debentures or they may seek an enhanced protection against the borrowing company.

In principle the maximum amount of issue of debentures must not exceed the amount of capital of the company. However, a company can issue debentures beyond its capital if it attaches collaterals mentioned under Article 409.

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<sup>26</sup> Articles 180 & 407ff

## CHAPTER 16

### ACCOUNTS, AUDIT AND INVESTIGATION OF SHARE COMPANY

#### Introduction

One of the fundamental principles of company law concerns corporate disclosure and transparency. If company management organs disclose information about the financial and operational situations of the company, it constitutes an important instrument for ensuring the interest of different stakeholders.

The obligation to produce the reports, the contents, and approval of the reports of company are governed by Articles 425 to 441.

Audit involves the act of evaluating the reliability and consistency of disclosures of the company. Disclosure of annual company reports is one thing, assuring the quality of these reports is another thing. Mere disclosure is not enough.

The auditors should have the necessary knowledge and skill to the level the accounting profession reaches. They shall be free from influences that inhibit the application of their professional knowledge and rules in the auditing process and report. They should be external from the persons whose accounts for the company being audited.

#### 16.1. Accounts

Account can be described as detail statements about the financial and operational activities of companies. All companies are bound to keep and preserve accounts for ten years, (Art 66 & 425(2)). **Accounts play an important role for**

- Proving a disputed issue for and against the company
- To make investment decisions by the company, shareholders, and creditors
- For taxation purpose

Making annual disclosure is expensive for the companies in terms of cost of preparation and may expose their confidential information. This can be considered as the down sides of investing in share company form of business organization.

##### 16.1.1. Content and Scope of Accounts

Annual accounts of a company shall show detailed *Inventory of Assets, Balance Sheet, Profit And Loss Account and Narrative Reports*.

- **The Balance Sheet and Profit And Loss Account** concern the financial matters of the company in the last financial year.
- **The Narrative Reports** narrates the operation of the company in light of plans, happened risks, and future opportunity.

The financial statements are backward looking. But director's report is both backward and forward looking.

The responsibility to prepare accounts and reports is imposed on board of directors (Art 427)

#### 16.1.2. Amortization/ የአላቂ ንብረቶች መተኪያ ገንዘብና የእርጅና ቅናሽ/ (art 430)

Amortization is described as the accounting measurement of loss sustained by the fixed assets that necessarily depreciates over time. Depreciable assets cannot retain the same book value in the balance sheet across years. Companies should deduct payments for this depreciation of fixed assets from their annual profit. It is mandatory to amortize the depreciation of assets at the end of the fiscal year even if the company makes no profit.

#### 16.1.3. Profit

The Code provided rules regarding the **Net Profit** and **Profit for Distribution** to warn the directors in declaring dividends to the shareholders.

The **Net Profit Of A Company** comprises net income of the year after deduction of operating costs, general costs, other charges (like taxes and reserves), and allowances for amortization. Article 432(1)

**The Profit for Distribution** refers the **Net Profit for the Fiscal Year less Previous Losses** of the company **plus Additional Revenue and Any Distribution from the Reserve Funds** specifically approved by the general meeting. The profit for distribution can be higher or lower than the net profit.

#### 16.1.4. Reserve

Share Company is required to maintain reserve funds in accordance with the law and its memorandum of association. The reserves are in general required to be paid from the net profit as per Articles 433 and 434 or from the share premium of the company in accordance with Article 435.

Reserve profit funds can include: **Legal Reserve, Supplementary Reserve, Optional Reserve And Free Reserve.**

**Legal Reserve** is the creation of the law maker. Companies are required to transfer five percent of the annual net profit to the legal reserve fund till it reaches five percent of the capital of the company (Article 434).

**Supplementary and Optional Reserve Funds** are created by general meeting resolutions in accordance with the memorandum of association.

**Free Reserve** is totally the creation of general meeting resolutions without any provision to do so in the law and memorandum of association.

The money transferred to the reserve funds will not stay locked in the reserve accounts. It can be used among other to cover unexpected losses to the company in the coming years (434(2)); redeem its shares (280); buy back shares (276(4)); and for distribution of dividends (432(2) & (3)).

#### 16.1.5. Dividend

Dividend constitutes the financial rights of shareholders against the company. The rule is that dividends shall only be made from the net profit of the company after deduction of reserve funds and remuneration of the directors. **Exceptionally**, it can be made **From Reserve Funds** though the company doesn't make net profit in accordance with Article 432(2) & (3) provided that there is a general meeting resolution to that end or **From Bank Deposit Interests Of The Company** before it begins normal business during preparatory works and construction stages in accordance with the memorandum of association as per Article 437.

The purpose of second exception seems to appease the shareholders to buy shares from companies that aim to engage in long term manufacturing sectors. Since, these companies may take years before starting operating their businesses. Unless such kinds of options are used in the memorandum of association, the investing community may lack interest to buy their shares.

- Save for these exceptions, it is illegal to distribute dividends in the absence of net profit in the fiscal year. Article 440

The distribution of dividend other than from the net profit of the company shown in the approved balance sheet of the general meeting constitutes fictitious dividend.

The shareholder turns in to creditor of the company from the due date for payment of the dividend (Art 438(3)-(5)).

## 16.2. Audit and Auditors

### 16.2.1. Meaning and Types of audit

Audit involves the acts of obtaining and evaluating evidence about the accounts and operations of a company in accordance with state laws, company bylaws and accounting rules. The purpose of auditing depends on the type of audit. Some of the types of audits are the following:

1. **Financial audit:** Covers the evaluation of financial statements of the company in light of the country's accepted accounting principles. The aim of the audit is to ensure whether the statements, balance sheet and profit and loss accounts, are prepared in accordance with the standards.
2. **Compliance audit:** This is an audit to determine the company being audited complying with criteria or standards found in the laws or regulations set by a higher competent authority or the organization's policy and procedures.
3. **Operational audit:** This is the study of a specific unit of an organization for the purpose of measuring its performance. It involves the evaluation of efficiency and effectiveness of the company or part of its units with a view to improve it.

Auditors are gatekeepers of the reliability and quality of the financial and non-financial reports of companies.

### 16.2.2. Appointment, Removal and Resignation of Auditors

The appointment and removal of auditors shall be carried out in accordance with the principles of *Independency and Competency*.

Auditors shall have family, economic and functional independence from the organ and persons of the company whose activities constitute the subject matters of their audit. If the auditors have relation with the directors, members of supervisory board, managers and employees of the company, they may not carry out the audit independently.

Auditors shall be free from the control of these directors and officers of the company. They are self-employed professionals. This differentiates external auditors from internal auditors. Internal auditors are employees of the company and undertake their auditing services to the company under the direction of the board of directors or audit committee of the board of directors. They may not be free like the external auditors since directors are their bosses.

The Principle of Competence; Auditors shall have the necessary knowledge and skill required by their profession. Their competency should be certified by license issued by the relevant body.

Every share company shall have independent and impartial external auditors (Art 343).

The principles of **Competence** and **Independence** are reaffirmed in the appointment criteria of auditors under Article 345. Such as having character; not an employee or shareholder of the company professional auditing license; be of a good moral ; not affiliated with the company based on Article 306(6) of the Code.

Unlike that of the appointment criteria of directors (Art 297) and eligibility criteria of promoters, the Commercial Code doesn't provide conviction of breach of trust, theft, robbery, and other similar crimes while working in the capacity of including auditors and directors as ineligibility criteria. Of course, the criterion of good moral character can be interpreted to include avoiding persons convicted of these offenses.

The term of appointment of auditors is three financial years. But auditors elected by the meeting of subscribers work until the first general meeting of shareholders (Art 344).

#### **The Effect of Defective Appointment of Auditors (Art 345(2))**

The non-fulfillment of appointment criteria cannot themselves invalidate audit reports carried out by the auditors. The reports should be invalidated if affected by fraud.

The general meeting of shareholders is given the power to remove auditors at any time. If their dismissal is without good cause, they can claim for compensation from the company (Art 346). They can't be removed by any other organ of the company other than the meeting of the shareholders.

#### **16.2.3. Remuneration of Auditors**

The remuneration of auditors should be determined by the general meeting of shareholders (Art 347). This is important to maintain the independent and impartiality of auditors from the directors, managers and employees of the company.

#### **16.2.4. Roles and powers of auditors**

##### **I. Verifying annual accounts and reports:**

They are responsible for verifying the accuracy and reliability of the inventories of assets, balance sheet, profit and loss account, narrative reports of the company, its holding and subsidiaries companies submitted for the general meeting of shareholders. See Articles 348(5) & (6) and 353.

##### **II. Submitting reports and comments:**

They are responsible for preparing their audit report on the accounts and reports of the directors. They should submit the report with comments to the general meeting of shareholders. The comments may concern a proposal of either approval or rejection of the accounts and reports submitted by the directors. The general meeting is prohibited from approving the balance sheet of the company without the submission of the audit report (Article 349).

### **III. Calling meeting:**

They have the power to call general meeting of shareholders if the board of directors and supervisory board are unable to call owing to vacation from seats or ignorance of their duties. They are also responsible to call the meeting if shareholders representing ten percent or more of the capital of the company requests. Articles 303(4), 350 and 366

### **IV. Making sudden audits:**

The auditors may at any time make on the spot such audits and checks as they think necessary and may call for any information (Articles 352 and 353).

### **V. Conduct interim management of the company:**

They are responsible to manage and control the company when the directors and members of the supervisory board seats vacate (Articles 303(5) and 333(3)).

### **16.2.5. Duties and Liabilities of Auditors**

They duty bound to provide accurate information. They must inform irregularities or breaches of the law and memorandum of association forth with to the supervisory board, if any or directors or to the general meeting of shareholder in case of sever breaches. If they find out matters which appear to be commission of offences, they are obliged to inform the relevant government organ (Articles 348(2) and 350).

Auditors may face tortious, contractual and criminal liability in relation with damage they cause to the company, shareholders or creditors in violation of their duties (Article 354).

They are criminally liable if they intentionally give or confirm untrue report concerning the position of a company or fail to inform the relevant authority of a criminal offence which they know to have been committed or divulge professional secrecy in accordance with the relevant criminal law (Article 354(2)).

### 16.3. Investigation and Inspectors

Government investigation on the affairs of companies is another mechanism to ensure the protection of minority shareholders, the company, creditors or the general public from the fraudulent activities of the directors, managers or/and the auditors of the company. Read Articles 355 to 361.

## CHAPTER 17: MEETINGS OF SHAREHOLDERS OF SHARE COMPANY

### Introduction

Meetings of shareholders are the third administration organ of share companies.<sup>27</sup> In general terms, meetings can be considered as company structures whereby the policies of the company beneath the law passed; top level leaders and controllers are elected; and general strategy, plan and implementation evaluated.

### 17.1. Meetings in General

Shareholders meetings are classified in to **General** and **Special Meetings** (Art 365).

#### A. General Meeting

It comprises shareholders of all classes. General shareholders meeting further divided in to two: **Ordinary** and **Extraordinary**. The nature of businesses, quorum and majority vote requirement differentiates the two general meetings.

- I. **Extraordinary General Meeting** determines fundamental and very occasional corporate issues, like amendment of memorandum of association.
- II. **Ordinary General Meeting** decides over normal corporate issues such as appointment of directors and auditors.

General meeting of shareholders is the highest decision-making organ of the company open to the participation of all members of the company. It is the organ that determines among others the powers of the directors and amends the memorandum of association. However, its decision making power is not absolute there are provisions of the law that General meeting of shareholders cannot derogate (Arts 363, 364).

Inherent rights of membership are rights of shareholders that emanate from the very condition of being a shareholder of the company in accordance with the CC, other relevant laws or MOA (Art 363(3)). Thus,

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<sup>27</sup> First and second administrative organs are; Board of Directors and Supervisory Board

its existence and enforcement doesn't depend on the decisions of the general meeting and board of directors.<sup>28</sup>

The Decisions of Meetings of Shareholders can be taken with **Formal, Informal, and Or Even without Calling a Meeting.** (Article 362(2))

Formal shareholders meeting is called and convened in accordance with the rules of the Commercial Code and provisions of the memorandum of association. It requires the physical or electronic appearance of shareholders or their proxies in the meeting.

An informal meeting involves a meeting that is convened with disregarding the mode of calling of shareholders meeting. This requires the agreement of all shareholders or proxies representing voting shares of a company (Art 390).

Shareholders may also pass decisions without calling and convening meetings. By requiring shareholders to vote on the text of the resolution through writing or electronically such as email, (362(2)). This also requires the mutual assent or unanimous consent of all voting shareholders of the company.

The law entitled such flexibilities to shareholders to choose the manner of undertaking their meetings based on the particular realities of their company.<sup>29</sup>

The manner of undertaking shareholders' meeting in the case of share company as a rule requires convening formal meeting. The other modes of undertaking meeting of shareholders are exceptions since they can be used only where there is mutual assent from all voting shareholders.

## 17.2. Call for Meeting

### 17.2.1. Power to Call Meeting

Power to call general meetings of shareholders is given to board of directors, supervisory board (if any), auditors, liquidators, Ministry of Trade and regional Integration or other relevant organ of government or Court of law (art 366).

#### 1. The Board Of Directors

<sup>28</sup> For instance, a decision of general meeting or board of directors cannot deny the voting right, right to preferred subscription in the event of issuance of new shares, and right to take part in the declared dividends unless in accordance with the law, memorandum of association or consent of shareholder.

<sup>29</sup> For instance, if the company has seven members, it may be unnecessary to undertake formal meeting since they can even manage and decide over issues with circulation of resolution.

BDs is, under normal course of things, responsible to call meetings of shareholders. This is compulsory for them to get the approval of the meeting of shareholders on numbers of issues.

## 2. The Supervisory Board, If Any

As a rule SD is responsible to call meeting of shareholders when the board of directors fails to do so owing to lack of ability or refusal (Articles 366(1) and 332(2)). But, **exceptionally**, the supervisory board seems has the power to call meetings of shareholders without waiting the first refusal of board of directors if it finds that the directors and managers involved in acts that damaged the interest of the company for the removal and suing of them.<sup>30</sup> See Articles 366(1) & 232(4) & (5).

## 3. Auditors

Have the power to call meeting of shareholders when the board of directors or supervisory board fails to exercise their calling power (Articles 366(1) and 351(1)). This seems a rule.

In two special circumstances, auditors can call meetings without observing this restriction.

1. When they are requested by shareholders representing at least ten percent of the capital of the company (Art 351(2)).
2. Up on their own very motion when they find out sever breaches and irregularities in their audit since it cannot be expected the board of directors and supervisor board would call the meeting if the acts are committed with the participation of all directors and members of the supervisory board.

Shareholders themselves have no power to call meetings of shareholders.<sup>31</sup> This differentiates the call for meeting of shareholders of Share Company from private limited company. Base on Article 521(3) shareholders representing one-half of the capital of private limited company are entitled to call ordinary general meeting if the board of directors, if any, manager or auditors, if any fails to call the meeting.

<sup>30</sup> It doesn't appear convincing for the supervisory board first to request the board of directors to call meeting of shareholders particularly when all directors are engaged in acts that jeopardized the interest of the company.

<sup>31</sup> However, shareholders representing at least ten percent of the capital of the company can request board of directors, supervisory board, auditors, Ministry of Trade and Regional Integration, general meeting to be called. And SHs representing at least ten percent of the capital can request the court GM to be called.

**17.2.2. Mode of Calling**

The manner of calling meetings is assigned to be determined by the memorandum of association of each company. If the memorandum is mute on the method of calling, the Code requires it to be made with publishing in a newspaper having nation-wide circulation. However, if all shareholders are registered in register of shareholders, it is possible to ignore a method in the memorandum of association, if any or the newspaper. The shareholders can be called with registered lettered at the expense of the company or an email address given by shareholders for this purpose, or any other reliable electronic method of dissemination.

**17.2.3. Contents of the Notice**

The notice of call for meeting is expected to consist of general information about the company; the meeting; and the agendas of the meeting.

The name, nature, capital, registration number, and place of head office of the company, whether the meeting is ordinary, extraordinary, special or even annual ordinary need to be included.

**17.2.4. Duration of the Notice**

The notice for the first general or special meeting must be given twenty-four days before the date set for meeting (Art 370). The same duration for notice shall be given if second ordinary general meeting call is required as a result of lack of quorum in the first call.

**17.3. Conducting the Meeting****17.3.1. Participation**

Participation in meetings is an inherent right of membership for shareholders unless restricted by law or memorandum of association. The Code has regulated various issues, such as the manner of calling meeting, time for notices as well as content of notice with the aim of ensuring meaningful participation of shareholders in meetings.

Guaranty for access to documents and other information is one of the basic inputs for meaningful participation at meetings. Every shareholder, joint shareholder, usufructure and pledgee is entitled to inspect and take copies of balance sheet, profit and loss account and inventories; directors and auditors report to the general meeting submitted in the three preceding years; minutes and attendance sheets of meetings; resolution to be submitted to the upcoming meeting; register of affiliated persons; name of highest paid employee of the company and his yearly paid amount; and register of shareholders of the

company. They can inspect and take the documents by applying to the Ministry if the company refuses (Article 381).

If a shareholder requests access to additional information which is necessary to take a position concerning the agendas of the meeting, the board is compelled to provide it to him unless disclosure is prohibited by law or in its opinion cause significant damage to the company. This applies information concerning affiliate companies as well. If the board refuses without sufficient cause, the shareholder can bring action against the company, (Art 382).

A meeting may be adjourned on want of sufficient information if Shareholders representing at least one third of the capital represented at the meeting may require adjournment if they decide that they have insufficient information on the matter in the agendas. The Code allows only one adjournment for an agenda, (Art 389).

Taking part in meetings through representation is the other important avenue guaranteed by the Code for the participation of shareholders.

### **Agency vs. Proxy**

**Agency** is a contract whereby Agent represent shareholder in meetings for indefinite time (for all juridical acts) based on the law of agency.

**Proxy** is a person by whom a shareholder will be represented for one meeting in accordance with the Code by filling out and depositing the proxy form prepared by persons who called the meeting.

### **17.3.3. Voting**

Voting on appointment, supervision and removal of directors is one of the fundamental rights of shareholders that enable them to exercise control over their company. The right cannot be limited by agreement. It can only be restricted in accordance with the law and memorandum of association.

### **The Code has Specified Selected Number of Restrictions on Voting:-**

*A shareholder who fails to make payments on shares when they become due shall lose his voting rights in shareholder meetings (Art 289/7).*

*The issue of shares with a preference as to voting rights is prohibited (279/2).*

*Unless there are legal conditions depriving voting right, every share carries at least one vote (383/2).*

*The MOA may limit the highest number of votes which shareholders may exercise at meetings; however, such limitation shall be equal for all shares without distinction of class.*

*A shareholder is prohibited from voting if he has an interest on the matter in the resolution (Art 385/1).*

*Directors are prohibited from voting on matters concerning their duties, liabilities or other matters of the company they have direct or indirect interest (Art 385/2).*

*Any agreement restricting or having the effect of restricting the free exercise of voting rights in shareholders' meetings shall be of no effect (Art 386).*

The weight accorded to shareholders voting with shares is calculated in proportion to the amount of capital represented by their shares. Unlike partnerships, Equality of shareholders depends on the treatment in proportion to contribution but not as an individual member.

Voting by rising hand, Poll casting, clapping method has been applied in shareholders meeting in Ethiopia.

#### **17.4. Resolution**

A resolution is the decision of a meeting with respect to items tabled as an agenda. A resolution becomes valid if adopted in a meeting in accordance with the memorandum of association and the law (Art 391(1)). Would missing of every requirement for calling and conducting meetings deny the resolution validity? The answer is negative. Since the Code has provided some cases of violation that cannot in principle affect the validity of the resolution.

For example, if a director votes on matters concerning approval of a transaction between himself and the company at the general meeting, the resolution cannot be set aside unless it is prejudicial to the interest of the company as a result of the breach.

One the other hand, a resolution passed contrary to quorum and majority rules of the Code is automatically invalid based on Article 374.

An invalid (illegal) resolution can be set aside with the application of any person to the court if it jeopardizes her interest. She shall lodge her action within three months from the date she knew of the adoption of the resolution. If the resolution is entered in the commercial register, she must lodge the action within two months from the date of entry regardless of the date of her knowledge about the

adoption. However, the rights of third parties acquired in good faith on the bases of the overruled resolution shall not be affected (Art 391(2)-(7)).

### **17.5. Ordinary General Meeting**

All shareholders have the right to participate in ordinary general meeting of shareholders. This cannot be avoided by otherwise provisions.

It is compulsory to hold annual ordinary general meeting within four months from the end of the financial year of the company. But the period can be extended to six months in accordance with the memorandum of association. It can't be extended beyond six months. Art 393

For an ordinary general meeting to be valid, shareholders representing at least one quarter of the capital of the company must be present. Apart from annual meeting, additional ordinary general meetings can be called if it is necessary to do so.

Decisions at ordinary general meetings are taken with simple majority of voting shares of the capital represented at the meeting. Absentees and blank ballots cannot be counted (Art 398(4)).

#### **Ordinary general meeting of shareholders is entitled to decide over the following matters:**

1. Deciding over annual accounts and reports of directors; reports of supervisory board and auditors;
2. Appoint or remove directors, members of supervisory board, auditors; and decide over their remuneration;
3. Approve issue of debentures and guarantees attached thereto, if any
4. Approve the transfer of fifty one percent or more of the assets of the company at once or with a year at different intervals
5. Approve transactions between the company and affiliated persons with the amount of at least ten percent of the asset of the company;
6. Appointing special investigator to undertake investigation and submit report on the activities of the company and selected shareholders; and
7. Decide on all matters assigned to general meeting of shareholders unless specifically left to extraordinary general meeting by the law.

### **17.6. Extraordinary general meeting**

Like the case of ordinary general meeting all shareholders have the right to participate in extraordinary general meeting irrespective of the extent of their shares.

The meeting is an organ of administration of company responsible to decide over matters special significance to the shareholders as a whole and the company. As a reflection of this, the meeting is subject to stricter quorum and majority rules compared to ordinary general meeting.

At least one third of the holders of all shares with voting rights must be represented at the meeting by shareholders or their proxies for a meeting to proceed with the first call. If such quorum is not present, the meeting must be called for the second time and the quorum is reduced to one fourth. If the quorum is not fulfilled in the second call, the third call follows within one week interval and the third meeting proceeds if shareholders having voting rights present or represented irrespective of the extent of their share in the capital of the company.

**There two exceptional cases that require very stringent quorum requirement:**

1. Change of nationality of the company requires the presence of all voting shares of the company.
2. Increasing of capital by increasing par value of shares other than from reserve funds and profit requires the presence and agreement of all shareholders in the meeting. See arts 402(2)-(4).

Two third majority of capital represented by voting shares present at the meeting is required to adopt a resolution at extraordinary general meeting. Abstentions and blank ballots cannot be counted in calculating this majority. If the meeting adopts a resolution on change of business purpose or conversion with majority vote, the dissenting shareholders have the right to leave the company via forced redemption of their shares (Art 430).

**Extraordinary General Meeting has the Following Powers (Art 400):**

- Amendment of memorandum of association.
- Increase or reduction of capital;
- Changing company nationality;
- Deciding dissolution, conversion, division or merger of the company; and
- Other powers specifically given to extraordinary general meeting by law or memorandum of association. This is because residual general meeting of shareholders powers is given to ordinary general meeting.

**17.7. Special meeting**

This is a meeting of shareholders having the same class. Special meeting of shareholders cannot exist in the absence of classes of shares in a company. The sole objective of the meeting is enshrining class interests against the exploitation of ordinary shareholders.

If the general meeting adopts a resolution that modifies the rights of class of shareholders; they can have a special meeting within sixty days to decide over the modification. This implies that the general meeting cannot change the rights of class of shareholders if the class rejects the same with special meeting resolution.

At least one half of the holders of shares having voting rights of the class must be represented at the meeting in the first meeting. If such quorum is not present, the meeting must be called for the second time within one week interval and the quorum is reduced to one third. If the quorum is not fulfilled in the second call, a third call follows within one week interval and the third meeting proceeds if one fourth of the class of shares having voting rights present or represented.

## CHAPTER 18: DISSOLUTION & WINDING UP OF SHARE COMPANY

Articles 181 and 182 of the Commercial Code govern the grounds of dissolution and winding process of business organizations in general.

### 18.1. Grounds of Dissolution

The grounds of termination can be categorized in to two: **Voluntary and Involuntary**. (Art 473 ff)

Voluntary dissolution involves agreement of the shareholders to cessation of working together and cooperation towards achieving the business purpose of the company through a term under the memorandum of association or an extra ordinary general meeting resolution.

Involuntary dissolution grounds are achievement or impossibility to achieve the purpose for which a company was formed, court decision for good cause on the request of a shareholder and declaration of “bankruptcy (Art 480) by the court (see art 181).

**Moreover Article 473 provided three specific grounds of involuntary dissolution of Share Company.**

1. Reduction of number of shareholders below five
2. By Decision of the registering organ for dissolution up on the request of any interested person as a result of lack of the **Required Administrative Organs** (Board of Directors, Supervisory Board if required by the MOA, Auditors and Meetings of Shareholders) of the company. However, one should be careful that temporary cessation of the organs should not be equated with lack.
3. The court may dissolve a company upon the application of any interested person if it loses three fourth of its capital.

**18.2. Winding Up**

Winding up is the process of making ready the cancellation of the company from the commercial register. In the process the company doesn't lose its legal personality. It continues with its name added "in liquidation". See Articles 474 to 491.

**Directors vs. Liquidators**

The basic difference between the two lies on the goal of their managerial decisions.

Liquidators take decisions with the objective of extinction of the company. Their primary purpose is not working for the company but to its creditors.

The objective of directors is towards promoting the success of the company and its whole shareholders. Directors begin new business strategies and plans while liquidators are restricted to completing the existing ones. They cannot begin new business.

A decision to dissolve a company with the name of the company followed by "in liquidation", its capital, liquidators, their power, and ground of dissolution are required to be published in a newspaper having nationwide circulation and the website of the company as per Article 474.

It is also required to make three successive calls to creditors of the company named in its books or otherwise known to liquidators with this method (Art 484)

## CHAPTER 19: PRIVATE LIMITED COMPANY

Ethiopian law recognized three types of companies; Share Company, Private Limited Company, and Single Member Private Company.

### 19.1 Nature

Private limited company (PLC) is today one of the most popular form of company employed in practice. A large number of groups of companies we get in Ethiopia consist of PLC's as their members. Businessmen prefer PLC for small and medium sized operations due to its flexibility in structure and functioning with the advantage of limited liability for its members.

PLC can be taken to be a *hybrid of a share company and partnerships*; its members enjoy benefit of limited liability like share company while on the other hand management is somehow flexible, close to the cases of partnerships. **Art. 495 provide comprehensive characterization of PLC as follows:**

- 1) A private limited company is a business organization whose capital is **fully paid in advance**, divided into shares and whose members are not liable for the debts of the company provided that they have paid up their contributions.
- 2) Shares of the company shall not be open for subscription by the public.
- 3) Notwithstanding Sub-Article (1) of this Article, the provisions of Article 295 of this Code shall apply to the liability of a member with a decisive vote.
- 4) A private limited company may not have less than two or more than fifty members.
- 5) The Company may not issue transferable securities.

✚ **A private limited company is called a private company exactly because it is not open for subscription by the public.** It is a company of members within a small circle or close acquaintances.

### 19.2 Formation

The formation of PLC is subject to the general rules governing formation of business organizations. A PLC must have memorandum of association. The content is more or less similar to the memorandum of other business organizations (Art 500).

#### 19.2.1. Members

The members of a PLC must not be less than two and must not exceed fifty. The minimum of two persons is in fact common to all business organizations but the maximum number limitation is peculiar to PLC. The possible justification for the maximum member seems that the law wants to maintain the close relationship among members and to make it manageable. Management is also not subject to strict rules unlike the case of share companies.

Where the number of members of a private limited company falls below two for whatever reason, the surviving member has two options; either to bring a new member or convert the PLC into a one-person private limited company within six months. Failing that, the PLC shall be dissolved (Article 498).

### 19.2.2. Contributions/Capital

The total sum of the contributions constitutes the capital of the PLC. The capital of a PLC must be at least 15,000 birrs. Capital of PLC is divided in shares. Each share shall have equal value known as par value. The par value of each share may not be less than birr 100 (one hundred birr) (Article 496). A single member shall contribute at least 100 birr which is the minimum par value (article. 496).

Contribution may be in cash or in kind with the exception of service (Article 501). **The contributions be it in kind or in cash must be fully paid before the formation and deposited in blocked account.** Where there are contributions in kind, they must be valued and delivered to the PLC, where appropriate, registered in the name of the company followed by issuance of title deed.

The valuation of contributions in kind is left to the members themselves.<sup>32</sup> In cases of over valuation and damage to third parties, members are jointly and severally liable for the excess valuation of the contribution regardless of the fact that members were not aware of overvaluation (Article 502).

### 19.2.3. Firm Name of the PLC

It shall have its own Firm-Name that must indicate the nature of business it carries out and followed by the words ***“Private Limited Company”*** to inform third parties that its liability is limited. Unlike partnerships, the name of members does not need to appear in the Firm-Name. PLC excluded from banking, and insurance business.

## 19.3. Shares in PLC

Share certificates with a par value shall be issued. See art 506 for contents of Share certificates. PLC may issue shares in a specified name (Art 503). Indeed, even a Share Company can issue only shares/debenture registered in the name of the shareholder/debenture holder.

### 19.3.2. Nature of Shares in PLC

Shares in PLC have a different nature than in a Share Company. PLC “may not issue transferable securities (Article 495 (5)). Transferable security implies that transfer of the document transfers the right embodied in it.

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<sup>32</sup> The law exempted members of PLC from the rigorous evaluation process depicted in share companies.

The instruments “may be transferred by the entry of the name of the transferee in the instrument and in the register held by the person issuing the said instrument.

### 19.3.3. Transfer of Shares

#### *1. Formality Required to Transfer Shares in PLC*

In PLC, share certificates shall be registered in the name of the shareholder. The general principle is that instruments registered in the name of the shareholder shall be transferred by the entry of the name of the transferee in the instrument and in the register held by the person issuing the said instrument (the company in this case).

Any transfer of shares **shall be made in writing**; Transfer of shares shall be of no effect in relation to third parties unless it has been entered in the share register (Art 508/1).

Article 1727 of the civil code provides that “any contract required to be in writing shall be supported by a special document signed by all the parties bound by the contract. It shall be of no effect unless it is attested by two witnesses. The requirement that transfer of shares in PLC should be in writing implies adherence to such formality is required. Thus, the transfer of shares in PLC is a little bit rigorous than the case in share company.

#### **Shares Pledged or Given in Usufruct (Art 505)**

Pledging or transfer of usufructuary interest in shares of a PLC must go through this same formality requirement as transfer of the shares; else it shall not have effect on third parties. The law confirmed that control rights shall remain with the shareholder even if some beneficial interests on such shares are transferred to third parties (Art 505). But agreement otherwise may also vest the control rights to transferee of the beneficial interest.

#### *2. The degree of freedom to transfer one's share in PLC*

Does the shareholder have unconstrained right to transfer his own share or do the other members of the PLC have control on transfer of shares? The degree of freedom somehow depends on to whom the transfer is to be made and on the events giving rise to the need for transfer.

Shares are freely transferable among members unless the memorandum of association provides for restrictive condition (Art 508/2).

Where transfer is to outsiders, the member disposing his share must secure the approval of members representing at least **three-quarters** of the capital.

Art 508 (3) provides that “a member shall, prior to disposing of his share to a person outside the company, reveal the price offered to him and give the right of first refusal to the other members to purchase the share at the price offered to him and under the same conditions.”

In cases of compulsory transfer of shares in PLC may arise due to execution of judgment against a member (Article 510). The judgment creditor or purchaser upon execution would not become a member automatically. It depends on whether members representing at least three-quarters of the capital consent to admit that new member. Any of the members interested in purchasing the share may payout the price he paid and keep away that potential entrant or the members may decide that the company purchases the shares using its reserves or capital.

The other instance of compulsory transfer of shares in PLC arises upon the death of a member (Art 511). in principle, upon the death of a shareholder, his share shall devolve upon his heirs but a provision otherwise may be provided in the MOA. But where the heirs are not interested to continue as shareholders, they shall be paid (from reserve K) and leave the PLC. Unlike the case in the course of execution of judgment legal heirs are automatically entitled to be a member or else they may opt to be paid out the value of their shares.

#### **19.4. Management of the PLC**

Synopsis of relevant provision on management of PLC shows that the management structure of PLC mandatorily requires designated manager (Art 514); shareholders meeting (Articles 519, 521 & 526) and external auditors (Art 518) but only where members are more than nine or its total assets exceed Ten Million Ethiopian Birr; it is up to the shareholders whether there should be a board of directors or not (Art 513)

##### **19.4.1. Shareholders Meeting/Company Meeting (Ordinary and Extraordinary)**

The shareholders' meeting is the highest decision-making organ of a PLC.<sup>33</sup> The code mandatorily requires shareholders meeting for PLCs of any size (Article 519 ff.)

Meetings of the shareholders may be either ordinary or extraordinary (Article 519).

##### **19.4.1.1. Extraordinary General Meeting (EGM)**

Matters of especial importance shall be decided only in Extraordinary General Meeting (EGM) like changes in the nationality of the company, proposal for increase of capital, and amendment of the memorandum of association (Art 526).

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<sup>33</sup> Its essential role is to take major decisions, which are beyond the powers of the managers.

Any amendment to the MOA requires the consent of members representing three quarters of the capital but a larger quorum and majority may be requirement by MOA.

**One instance that would result in amendment of the memorandum is increase of capital.**

Where capital increase is proposed for decision, the majority required depends on how the capital increment is to be made.

- ✚ Where the proposal aims to increase the capital from profits or reserve funds, the consent of members representing three quarters of the capital is enough unless a larger quorum and majority is required by MOA (Art 526/3).
- ✚ Where the proposal for capital increment requires members to make additional investment by raising the par value of existing shares, the unanimous decision of all members is required.
- ✚ Any motion for changing the nationality of the company requires the presence of all shareholders and they all must consent.

#### **19.4.1.2. Ordinary General Meeting (OGM)**

All matters not specifically provided in the memorandum to be decided by extraordinary general meeting shall be decided by ordinary general meeting.

OGM shall be conducted at the end of each financial year. It must be held within four months but subject to possible extension up to within six months by the decision of relevant government authority or where the MOA provides so (Art 521).

Quorum and majority requirement for taking decisions in PLC are calculated based on the amount of capital represented, and not by the number of shareholders. OGM shall be held only if members or a member representing more than one-half of the capital of the company are present in the meeting (Art 525/1), if such members are not obtained in the first meeting, the members shall be called again, at this second meeting, decisions shall be taken by a simple majority of shares represented without regard to the amount of capital represented.

If the quorum is met and the meeting is held, a valid and binding decision requires a simple majority vote of shares represented at the meeting.

The responsibility to call meetings be it OGM or EGM, **rest on the board of directors**, if any, and **in its absence, upon manager**. In case of failure by these organs, **by the auditor**, if any, or alternatively

**Members representing more than one-half of the capital** of the company shall call a meeting. Members representing at least ten percent of the capital may initiate a call for meeting by requesting those organs.

The meeting shall be minuted, which should have contents as specified in Article 522.

#### **Conduct of Meetings by Electronic Means (Art 520)**

- ✚ Members may participate in a meeting of the company by electronic or other means of communication unless the MOA prohibits

- ✚ The MOA may not be amended by a meeting conducted through electronic means

PLCs having less than ten members decisions may be taken without a meeting by sending to each member requesting their written or electronic vote thereon (Art 523).

#### **19.4.2. Manager of PLC**

A PLC of any size must have a designated manager (Article 514), who may be appointed among the shareholders or an outsider.

Where the PLC has board of directors, the appointment of ***the manager shall be the mandate of board.*** But in its absence, the shareholders shall appoint the manager.

All matters other than those reserved to decision of shareholders meeting shall devolve to the manager or to the manager and the board of director where it exists (Art. 515).

Where the company does not have a board of directors, the manager shall have full powers to act in the name of the company for the realization of the business purposes of the company.

#### **19.4.3. Auditors**

Whether a PLC must have external auditor or not depends on its size, measured by its capital or number of members.

Where a PLC consists of ten and more members or its total assets exceed Ten Million Ethiopian Birr; it shall have an independent and impartial external Auditor (Article 518). To ensure independence and impartiality, the Auditor shall be appointed and removed by a general meeting; its remuneration shall be determined by the general meeting of shareholders. Auditors must be free from any influence by the board or manager.

Auditor shall not be a person affiliated with the company. Who are Persons affiliated with the company?

Read Art 306(6).

Auditors must be notified of general meetings in the same way as members and may attend all such meetings.

✚ **Power and Duties of the Auditor** (Art 518 cum 349)

✚ **Liabilities of the Auditor** (Art 518 cum 354)

The removal of auditors may be carried out by simple majority vote of members representing half of the capital.

### 19.5. Accounts of PLC

Simplicity of formation, management, limited, and small amount of capital required in PLC is perceived as harmful to creditors. Thus, the law attempts to mitigate this problem by requiring legal reserve.

Each year not less than five percent of the profits shall be transferred to the legal reserve until such fund amounts to ten percent of the capital (Art 528).

Moreover, though shareholders enjoy limited liability and entitled to retain lawfully paid dividends, they shall be required to repay dividends which are fictitious (Art 529). Dividends shall be deemed fictitious where they are pay outs not from actual profits.

#### ■ **What is by the Corporate Veil mean?**

### 19.6. Dissolution and Winding-Up of PLC

PLC is subject to general provisions of Article 181 regarding the Grounds of Dissolution of business organizations (Art 531). The request for dissolution may be brought by the management organ or if it lacks such organs, it shall be dissolved by an appropriate court on the application of a member or a creditor.

The dissolution and winding-up process of a private limited company shall be subject to the provisions of Article 473-491 that applies to share companies, subject to necessary changes.

## CHAPTER 20: ONE MEMBER PRIVATE LIMITED COMPANY

Also known as Single-Member Private Limited Company (hereafter SMPLC), it is introduced by the new code. That single member can be either natural or juridical person.

### 20.1 Nature SMPLC

#### The basic features of SMPLC (Art 534):-

- ✚ A company incorporated by the unilateral declaration of a single person.
- ✚ A company having its own legal personality separate and distinct from that of the member
- ✚ That single member shall not be personally liable for debts due by the company in so far as he has fully made his contribution.

SMPLC has its own legal personality separate and distinct from that of the member. The member shall not be liable beyond his contribution for debts due by the company.

### 20.2 Formation of SMPLC

A SMPLC is established through a constitutive document known as *Unilateral Declaration*.<sup>34</sup>

#### The contents and form of the unilateral declaration (Art 536)

The content of the declaration is more or less similar to contents of a memorandum of association. One notable difference is the requirement for appointment of nominee of the company whose function will be to act on behalf of the member or his heirs in the event of death or absence or judicial interdiction of the member.

Article 537 underscored the indispensability of the nominee. A SMPLC shall not be formed unless the nominee has declared his acceptance of the nomination. The acceptance of the assignment should be attested by the authority vested with power to authenticate documents (Art 537 (1)). It is prohibited to be a nominee for more than one SMPLC at a time.

#### The formation of a SMPLC may not always be a start from the scratch:

It could be formed by conversion of existing businesses. SMPLC is a version of sole proprietor with limited liability.

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<sup>34</sup> The unilateral declaration is equivalent of the memorandum of association in other business organizations.

Sole proprietors are allowed to transform their business to the SMPLC by way of conversion and enjoy the benefit of limited liability, provided that they shall remain liable jointly and severally for creditors and debts incurred prior to the conversion to SMPLC (Art 538).

The SMPLC may also serve as a destination point where other businesses falter. In particular, a PLC whose members reduced below two may rely on SMPLC as a suitable alternative (Art 498).

### 20.3 The Rule Regarding Group Companies of Single Member Companies

Whether a single member should be allowed to be the sole member of several companies, and if so, what would be the position of that person regarding groups of companies?

Ethiopian law a natural person or a legal person may establish several SMPLCs. Also, a SMPLC could have a controlling share in another Company and thus become a parent company of subsidiaries other than SMPLC. However, a SMPLC is prohibited from forming another SMPLC (Art 539 (1)).

### 20.4 Contributions and Capital of SMPLC

Its minimum capital shall not be less than 15,000 and it must be fully paid at the time of formation. The contributions that compose the capital may be in the form of cash or in kind. Yet contributions in the form of service shall not be allowed (Art 545 cum 501). When in kind contributions are made, the nature and the value of the contribution (or its estimate) shall be indicated expressly in the declaration submitted.

Unlike the case in PLC where valuation of contributions in kind are left to the judgment of members, the valuation of contributions in kind in SMPLC shall pass through rigorous evaluation process by an auditor (Art 540 (2)-(5)).

### 20.5 Liability in SMPLC

By way of exceptions to limited liability rule, the member a SMPLC or any other person who has control over the company directly or indirectly<sup>35</sup> shall be jointly and severally liable with the company. Where he:-

- ✚ Intentionally commits an unlawful act that jeopardizes the interests of the company or creditors of the company;
- ✚ Intermingles the assets of the company with his property;
- ✚ Fails to keep separate his own personality and that of the company;

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<sup>35</sup> The manager if he is a different person than the owner and the members of board of director, if any.

- ✚ Deliberately releases regarding the financial status of the company information that can mislead the creditors of the company;
- ✚ Make use of the assets of the company for himself or to benefit third parties without adequate payment being made the company;
- ✚ Receives dividend in excess of the maximum that can be paid under the law or commits other similar acts.

## 20.6 Management of SMPLC

The minimum management organs of SMPLC required by law comprise the **General Manager** and **Shareholder Meeting**. Other organs of management such as **Board of Directors** and **Auditors** may be included by the decision of the SMPLC.

### 20.6.1 General Manager

The general manager can be the member himself or a third party. Any limitation on the powers of manager provided in the unilateral declaration shall be of no effect as regards third parties. powers of the manager in SMPLC shall be analogous to the power of a General Manager in a Private Limited Company (Art 515&541).

### 20.6.2 Shareholder Meeting/Company Meeting

Shareholder meeting is the supreme organ of the any company. Whereby all matters that goes beyond the powers of the general manager shall be decided.

It is the member of the company who shall exercise the powers of the general meeting of shareholders. His decisions shall be deemed equivalent of meetings in a private limited company (Art 542).

## 20.7 Dissolution and Winding up of SMPLC

The general grounds of dissolution as provided in Article 181 could be invoked subject to necessary adaptations to the unique features of SMPLC.

The dissolution and winding-up process of a SMPLC shall also be subject to the provisions of Article 473-491 that applies to share companies, with necessary adaptations (Articles 545 cum 533).

Due to very nature of SMPLC, the legislature provided for a *Simplified Dissolution Procedure*<sup>36</sup> in which matters of liquidation could be exempted for SMPLC, where all its debts and obligations are settled. In such cases, the surplus assets of the company shall be assigned to the member without liquidation of

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<sup>36</sup> The rationale behind the simplified procedure lies in that where all the debts are settled, the remaining assets, if any, shall automatically devolve to the sole shareholder and as such there is no need for liquidation process.

assets taking place. However, the member shall be personally liable for all the debts and obligations of the company if creditors appear after the dissolution has taken effect before the lapse of the 5 years from the date on which the aggrieved party knew of the dissolution. And in any case, no legal action can be taken after ten years from the date when the transfer of the assets of the company to the member took place (Art 544).

## CHAPTER 21

### CONVERSION, MERGER, DIVISION, AND GROUP BUSINESS ORGANIZATIONS

#### 21.1. Conversion

Conversion is the change of the form of a business organization from one type into another.

##### 21.1.1. The Effect of Conversion on Continuity of the Legal Entity

The conversion of a business organization from one type into another does not cause the creation of a new legal person but only amendment of the memorandum of association (Art 546/1). The MOA must be amended and reflect the nature of the new business organization. Further, authentication and filing of the amended memorandum, and other essential procedures as in the case of formation new business organization shall be complied with.

The business track records, its reputations, and credits would be legally recognized to be transposed to the new form. All the liabilities and benefits shall be transferred to the new type starting from the moment the amended memorandum of association is entered in the commercial register.

##### 21.1.2. The Power to Decide on Conversion

Conversion is an issue of high importance to the members so no person other than the members may decide on it.

In principle a decision on conversion requires the unanimous consent of the members. But the members may vary the unanimity requirement to a certain majority requirement by providing it in the MOA.

##### 21.1.3. Conversion and Protection of Dissenting members

The majority decision may not override certain interests of the dissenting members.

*The decision shall not deprive a member, in whole or in part, of the right of membership or increase his liabilities without his consent.*

A decision on conversion must not in any case result in deprivation the right of membership.

The conversion also should not result increment of member's liabilities. **What it implies?** For instance, the conversion from companies to partnerships will inevitably entail increased liability to the members. Increment of liability by the very nature of the new entity can be avoided not by blocking the conversion rather by defection from the new entity. Thus the dissenting shareholders may withdraw by selling their shares to the organization; they may not obstruct the conversion on alleged increment of liability.

#### **21.1.4. Conversion and Protection Creditors**

Conversion decision must be published in a newspaper having wide circulation as well as on the website of the business organization, if any. A single publication does not suffice to effectively reach creditors. They shall be given triple notice, once in a month in three successive monthly.

It is the responsibility of the general manager, secretary, or other organs of management as the case may be, to ensure notice to creditors are dully addressed. Unless they shall be jointly and severally liable for losses sustained by the creditor owing to failure or defective notice to the creditors.

Creditors shall be informed that, unless they object thereto, they shall be deemed to have approved the conversion and deemed to be creditors of the new business organization. Approval shall be presumed where creditors have been informed but have not expressly objected within thirty days from the date of the dispatch of notification (Art 549 (3)).

#### **21.1.6. The Effect of Conversion on Liability Members**

Conversion should not in any way be used to escape liability nor shall it vest to pursue members that used to enjoy limited liability for debts owed prior to conversion. The status quo shall be preserved.

#### **Article 549: Liability of Partners**

- 1) The conversion of the business organization shall not discharge partners with unlimited liability of their liability for undertakings entered into by the firm prior to the registration of the decision of conversion in the commercial register, unless it is proven that the creditors have approved the conversion.
- 2) Where a share company, private limited company or one person private limited company is converted into a partnership, the partners shall not be personally liable for debts incurred by the organization before the conversion.

### 21.2. Merger of Business Organizations

*Merger is an operation whereby two or more organizations merge into one **either** by one of them acquiring the rest **or** two or more organizations forming a new organization and merging into the new one (Art 565).*

The definition encompasses two different ways of effecting merger:

- ✚ 1<sup>st</sup> Where the merging entities, two or more, melt themselves create a new alloy.
- ✚ 2<sup>nd</sup> the second type of merger is what the literature calls acquisition.

**Merger implies  $A+B=C$  while acquisition may be denoted as  $A+B=A$  or  $B$ .**

#### 21.2.1. Merger how effected

A merger by acquisition occurs where one or more business organizations are wound up without liquidation by transferring all their assets and liabilities to a preexisting organization. The legal definition of acquisition presupposes at least one entity shall be wound up and the acquiring entity continues.

In merger, be it merger by acquisition or merger resulting formation of new organization there, is no liquidation but winding up.

The winding up takes place through transfer of all their assets and liabilities to an organization the merging entities themselves form.<sup>37</sup>

- ✚ Winding up generally denotes the final stage of liquidation-the selling of assets, payment of debts, and distribution of surplus, if any, to members.

#### 21.2.2. Division of Business Organizations (Art 566)

Division of a business organization is the operation whereby all its assets and liabilities of a business organization are transferred to more than one business organizations. The transferee business organizations may be either preexisting organizations or organizations newly formed by it.

Division of business organization, like merger, takes two approaches: division by acquisition or a division resulting in formation of new business organization (Art 566(2) & (3)).

#### 21.2.3. Eligibility for merger or Division

Merger may take place between any forms of business organizations (Art 565 (4) & (5)). Even a business organization under liquidation may change its course of action to merge with another organization

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<sup>37</sup> In merger, be it merger by acquisition or merger resulting formation of new organization there, is no liquidation; there is no sell off assets and payment of debts of creditors, there is no distribution of surplus, if any. The shareholders or partners of the business organization that is **merged or divided** shall be issued with exchange shares in the organizations to which the assets are divided, with possible additional payment equalization cash.

provided that distribution of assets did not take place yet. Similarly, division may result into any type of business organization (Art 566 (5)).

**Unlike conversion that simply changes the form of business organization, merger and division are subject to a bit rigorous procedure.**

- 1. Merger or Division Plan by chairperson of the board or the manager, (Read Art 567)**
- 2. Merger or Division Report to members of the organization,**

The merger or division prepared and signed by chairperson of the board of directors, or by the general manager as the case may be shall pass through examination and assessment of different stakeholders.

The merger or division report shall be presented the general meeting of the shareholders or members of the organization. The report is meant to examine and explain the plan. Content of the report should include (Read Art 568)

- 3. Examination of Merger or Division by an independent and impartial expert**

The merger or division plan, report and other necessary conditions for the merger or division shall be examined by an independent and impartial expert (Art 569 (1)-(4)).

Each of the business organizations taking part in the merger or division must get its own independent and impartial expert evaluation. But it is also possible to appoint joint expert where all the business organizations involved in the merger or division have agreed that effect.

The independence and impartiality of the expert must be assured. The appointment shall be made pursuant to the rules set out for the appointment of the auditor of a share company.

The expert shall submit a written report his own opinion to the members of the business organization. The report shall be of made available at the head office and branches of the business organization one month ahead of the meeting called to approve the merger or division.

- 4. Members' decision on Merger or Division**

A decision regarding merger or division must be approved by the general meeting of each of the business organizations taking part thereto.

In case of share companies, if there is special class of shareholders and if the merger or division affects such class, it must also be approved by the special meeting of shareholders having preferred shares.

### 5. Publicity of decision on merger or division

The merger or division is not exclusive affairs of the members of the business organizations it may affect different stakeholders. Thus, where the proposed merger or division plan is approved by the members meeting, the plan must be publicized via a newspaper having a nationwide circulation (Art 572). The publicity shall be twice; once a month for two months starting from the date of members approval. It should also be posted at the head office, and on the website of the business organization, if any.

**Content wise, the notice shall indicate where and how interested parties can get:**

- The merger or division plan
- The report drawn up by an impartial expert
- The report prepared by the board of directors or, the general manager

### 6. Approval and effective date of merger or division

Whosoever plans a merger, the merger plan must be submitted Trade Competition and Consumer Protection Authority for evaluation of its impact on trade competition. Merger shall not be effected without its approval.<sup>38</sup>

The effective date of the merger or division starts on the date of entry into the commercial register of the new business organization created as the result of the merger or the division (Art 573(1)).

Where merger or division is effected by winding up one or more business organizations and transferring their assets and liabilities to an *Acquiring Business Organization*, called merger or division by acquisition by pre-existing business organization, in such a case its effective will be the date of entry of the amendments to the memorandum of association of that pre-existing business organization into the commercial register (Art 573(2)).

### 7. Issuance of exchange shares to Members during Merger or Division

A merger or division is supposed to improve the position of members. In any case, best effort must be exerted to ensure merger or division shall not worsen the position members had before.

- Members of the wound up business organizations shall be issued with exchange shares (equal or equivalent to values) in the acquiring or newly formed business organization.

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<sup>38</sup> Trade Competition and Consumer Protection Proclamation No.813/2016, Article 9-13.

- In the case of division without the winding up any business organization cases where a division is simply transfer of a portion of assets or a business unit without winding up and ceasing legal personality of the transferring business organization (Art 566 (4)), the members of transferring business organization shall be issued with exchange shares in the newly formed business organization or the organization to which the assets are transferred.

#### 21.2.5. Protection of Creditors during Merger or Division

Creditors do not have the authority to block the merger or division process. However Creditors need to be properly informed by consecutive notices so that they can secure their interest.

##### i. Creditors who provided loan but whose claims have not fallen due

Creditors whose claims have not due at the time of the publication of the merger or division plan may petition the court to grant them adequate securities where an impartial expert report (Art 569) shows:

- a. The creditors are not sufficiently protected after the merger or division;
- b. The financial standing of the business organizations involved in the merger or division poses a particular risk to the rights of creditors and gives opinion regarding safeguards to be implemented.

In such cases, the creditors must file their claim for adequate security within sixty consecutive days from the first publication of the merger or division plan. If he fails to submit his application within this time he shall be a creditor of the acquiring or newly formed business organization

##### ii. Where the creditors are Debenture Holders

- The debtor business organization itself may redeem the debentures from all those who prefer that, the par value and interest to debenture holders (Art 577).
- Where debtor business organization did not propose redeeming of debentures, the debenture holders can disapprove the merger or division of the business organizations concerned. Where the merger or division is disapproved, the debtor organization shall redeem the debentures by paying the par value and interest due on the debentures.

#### 21.2.6. Effects of Merger and Division

- ✚ The business organizations to be merged or divided shall cease to exist via winding up without the need for liquidation.
- ✚ All the assets and liabilities of the business organization that ceases to exist owing to the merger or division shall be transferred to the acquiring or newly formed business organization;

- ✚ Starting on the effective date, the merger or division may only be annulled by order of the court (if the requirements of the law are not observed). This is not exhaustive list.

### 21.3. Regulating Grouping of Companies

The purpose of regulating grouping of companies is for protecting creditors and shareholders of a company that is going to form a grouping with other companies.

#### 21.3.1. Definition of a “Group” (Article 550-553)

A group of companies is an economic entity formed of a set of companies which are either companies controlled by the same company, or the controlling company itself. Controlling a company means having the power to appoint the majority of its directors.

*A grouping of Companies “...is a set of companies comprising of the parent company and all its domestic and foreign subsidiaries, unless otherwise provided by law.” (Art 550 (1))*

#### 21.3.2. Rights of Shareholders, Creditors, and Group Members (Article 554- 564)

- ✚ The right to be informed of the group formation as indicated under Article 554
- ✚ Parent company has the right to give subsidiary company as provided under Article 556
- ✚ Management of Parent company has the right to get information from the subsidiary company as stipulated under Article 557
- ✚ Parent company has the right to squeeze out the shares in the subsidiary company as entitled under Article 558
- ✚ Shareholders have the right to information and special investigation as specified under Article 559
- ✚ Minority shareholders of a subsidiary company are protected against the parent company as specified under Art 560
- ✚ Minority shareholders of a subsidiary company may require the investigation of parent company as specified under Art 561
- ✚ The minority shareholders of a subsidiary company have the right to sale out their shares to the parent company provided under Art 562
- ✚ Shareholders of a subsidiary company may make the board of the subsidiary company for acting according to the instruction of the parent company as provided under Article 563
- ✚ Shareholders of a subsidiary can make the parent company accountable for loss of the assets of the subsidiary as provided under Art 564

### 21.4. Regulating Foreign Business Organizations

Strategies of doing business globally are multifaceted. Importing and exporting is one of such strategies.



## CHAPTER 22: INTRODUCTION TO ETHIOPIAN INSOLVENCY LAW

### 22.1. Business failures and creditor remedies

There are many differences between liquidation under company law, and liquidation under insolvency law. **The two basic differences between liquidation under company law and liquidation under insolvency law are;**

- ✚ Liquidation under company law is subject to the ordinary civil procedure, whereas
- ✚ Liquidation under insolvency law is subject to the insolvency procedure managed by supervisory judge and the trustee.
- ✚ Liquidation under insolvency law can lead to discharge of the debtor for any outstanding unpaid claims after closure of proceedings. Liquidation under company law doesn't give such entitlements of the debtor.

#### 22.1.1. Insolvency Procedures

Insolvency refers to the condition of a business where the business becomes unable to pay the claims of its creditors whether momentarily or indefinitely.

The inability of the debtor to pay his debts on time as they mature can cause ramifications in the market. Employees may not get paid, suppliers may be unable to finance their activities and may default on their obligations towards others, lenders may remain unpaid, etc. Depending on the size of the debtor, insolvency can cause complex problems.

Under art 590(1) of the code insolvency is indirectly defined; *cessation of payments occurs "when the debtor is unable to pay its debts which are due and payable with its liquid assets."*

What is meant by "debts due and payable? And, "what are liquid assets?"

- ✚ Debts due and payable are debts regarding which the creditor has given a default notice as required by law.
- ✚ Liquid assets are credit reserves, overdraft and similar facilities available to the debtor (Article 590(2)).
- ✚ Credit reserves are loans made available to a borrower, and overdrafts are likewise funds borrowers of banks are allowed to take above their deposits.
- ✚ Overdrafts are likewise funds borrowers of banks are allowed to take above their deposits.

Credit reserves and overdrafts are not like other bank loans. These financial instruments are dependent on the credit history of a borrower and are available only for borrowers with strong credit history.

### **22.1.2. The nature of insolvency law and insolvency proceedings**

Insolvency law refers to the legal framework that governs process by which individuals or BOs that are unable to pay their debts can seek relief from their financial obligations. Insolvency is a highly procedural branch of the law and very closely related to the law of civil procedure, contracts, administrative law, and criminal law and so on.

All bankruptcy law has at least two general objects in view. It aims;

- ✚ First to secure an equitable division of the insolvent debtor's property among all his creditors and,
- ✚ Second to prevent on the part of the insolvent debtor conduct detrimental to the interests of his creditors. In other words, bankruptcy law seeks to protect the creditors, first from one another and, secondly, from debtor.

## **22.2. Insolvency Procedures under the New Commercial Code**

### **22.2.1. The Three Alternative Procedures**

The Code comprises three types of procedures; Preventive Restructuring, Reorganization and Liquidation Procedures.

#### **A. Preventive Restructuring Proceeding**

Preventive restructuring can be defined as a negotiation process between the debtor and some or all of its creditors aiming at a consensual modification of the claims of participating creditors, or the time of payment. PR proceeding is its voluntary nature throughout the proceedings.

An important aspect of the PR proceeding is its voluntary nature throughout the proceedings. It is “aimed at enabling a debtor in financial difficulty to restructure its operations (and particularly its debt) itself in order to continue its activities and pay back its creditors.”

#### **B. Reorganization Proceeding**

**RP** involves a process of negotiation between a debtor and creditors with objective of creating a new arrangement for the settlement of creditors' claims.

#### **C. Liquidation proceedings**

Liquidation proceedings are “proceedings to sell and dispose of assets for distribution to creditors in accordance with the insolvency law. Liquidation results in an absolute exit from the market since the business will not exist anymore after completion of the proceedings. The only objective of liquidation is satisfaction of the claims of creditors in a fair and orderly manner.

### **22.2.2. Initiation of Insolvency Proceedings**

There are test for starting insolvency proceedings also known as commencement standards. There are two types of commencement standards.

The most popular one is the suspension of payments which is defined as “state or condition of being unable to pay one's debts as they mature.” This conception is also known as inability insolvency, or ordinary insolvency

### **22.2.3. Objectives of Ethiopia’s Insolvency Law**

The objective of preventive restructuring proceedings, reorganization proceedings and bankruptcy proceedings is to promote economic stability, maximize the value of the estate and ensure legal certainty and transparency through efficient, effective and timely procedures” for the resolution of insolvency of traders.

From the debtor’s perspective insolvency procedures provide opportunities for restructuring and reorganizing a failing business while generally keeping the creditors away momentarily.

From the broader societal perspective insolvency law has the goal of enhancing economic growth by facilitating exit for failing businesses, and reallocating resources to more efficiently managed ones. The procedure in insolvency law is formulated to achieve orderly and cost-effective liquidation.

#### **a. The Efficiency Goal of Insolvency Law**

For instance, when a debtor is suspected of being insolvent, creditors have an incentive to engage in a scramble for debtor’s property, hastily enforcing their individual claims, even if it results in a reduction in the total value of recoverable assets. Therefore, insolvency laws bring into play rules on the orderly resolution of financial distress maximizing value for creditors as well as protecting the debtor from the harshness of creditors. By preventing individual enforcement proceedings in favor of the collective proceeding, it lowers the wastage of resources through separate enforcement actions.

Insolvency law also embodies efficiency from the insolvent debtor’s perspective. As financial distress can occur in the normal business cycle, efficiency requires that businesses should not be forced to exit for

temporary cash-flow problems which can be resolved quickly if some sort of temporary relief is availed and if survival of the distressed firm entails more value to the debtor and the creditors as well as to society. The laws pertaining to preventive restructuring are built on these premises.

In literature, **Secured Creditor** is called **Senior Creditors** whereas **Unsecured Creditors** is called **Junior Creditor**.

#### 22.2.4. The sources of Insolvency law in Ethiopia

By sources of law is meant the material sources of insolvency law. These are;

1. The Commercial Code of 2021, which is the most important source of insolvency law in Ethiopia
2. Banking business proclamation and insurance business proclamations. The Banking business proclamation No. 592/2008 incorporates rules as to insolvency of banks from sections 32 to 48.
3. By virtue of Federal Courts establishment proclamation 1234/2021 “interpretation of a law by the Federal Supreme Court rendered by the cassation division with not less than five judges shall be binding on federal as well as regional council at all levels.”

In Ethiopia insolvency law has a very recent history. The formal insolvency legislation starts with the Bankruptcy Act of 1933 and spans up to the 2021’s new Commercial Code.

#### 22.2.5. Scope of Ethiopian Insolvency law

Book III of the Commercial law regulating insolvency applies on traders only whether sole proprietorships or business organizations. It also applies to public enterprises as well as financial institutions subject to the special laws applicable on them. See art 589

## CHAPTER 23: PREVENTIVE RESTRUCTURING

### 23.1. Definition of Preventive Restructuring

Preventive Restructuring (ለጥንቃቄ ዕዳን መልሶ የማዋቀር ሥነ ሥርዓት)

Preventive restructuring (PR) is an early-stage intervention made with the primary goal of saving a distressed business while at the same time protecting the interest of creditors. See art 588/2. The most important factor that distinguishes PR proceeding from other procedures is its voluntary nature.

Article 617(1) partially reads: “preventive restructuring proceedings shall be available upon the sole application of a debtor...” The law unequivocally states nobody other than the debtor himself can initiate PR proceedings-hence it is voluntary.

Ethiopia’s insolvency law, highly influenced by UNCITRAL Guide. However, the PR proceeding under the Ethiopian law is different from voluntary restructuring in the UNCITRAL Guide which defines it as an out of court voluntary debt resolution not forming part of an insolvency law.

The requirement to open PR proceeding is expressed in Article 617(1). Accordingly, PR is available for a trader “*which is not yet in cessation of payments or has been in cessation of payments for less than forty-five days and faces actual or foreseeable economic or financial difficulties.*”

Since PR proceeding is court supervised, the debtor has to convince the court in its application that such a rescue intervention is warranted, Article 617(2).

### 23.2. Effect of opening of PR on the debtor and creditors

For the debtor, the opening of PR proceedings results the debtor stays under the supervision of the expert in the field of restructuring (restructuring expert or RE) for as long as the PR proceedings last. While the debtor continues to manage his business in the ordinary course of things, PR proceedings entail denial of his right to make decisions beyond those required for ordinary business operations. Hence, any decision outside the ordinary course of business, such as the sale of significant portion of assets and the creation of a security interest, shall require the prior approval of the RE. Article 624

For the creditors, the consequence of opening of PR proceedings is the possible prohibition of individual enforcement action.

The other most important consequence of PR on creditors is the possible reduction in claims and/or postponement of time of payment.

**23.3. The status and role of the debtor during PR Proceedings**

During the PRP, the debtor is entitled to remain in full control of his/her business and shall have the power to take all decisions falling within the ordinary course of business. As explained above, the only exception to this is in respect to extra-ordinary decisions under Article 624 which require the prior approval of the RE.

**23.4. The role of the Restructuring Expert**

The duties of the RE are expressed under art 621

**23.5. The role of creditors in preventive restructuring**

The law tacitly admits the possible coexistence of two categories of creditors in PR:

1. Affected creditors by the PR and
2. New finance providers under the restructuring plan

New financing providers shall have priority over unsecured creditors in case of the subsequent opening of bankruptcy proceedings (Article 628(3)).

**Short Note by Abdulfettah Bushura**

**Chapter 24, 25 and 26 are not addressed in this Note.**